Equity Research

WELLS FARGO

Earnings Revised — April 27, 2026

Aerospace & Defense
Government Services
Space

Weekly Wingman

Our Call

Aero results have come in strong so far with 15%+ OE & AM growth, but group has significantly underperformed on GE's large reduction in FY departures growth. We have tracked further 50-100bps reduction in global airline schedules in past week.

Up Next: Earnings continue this week with AIR.PA/ATI/CRS/GD/LHX/RR/TXT/WWD. Expectations for Airbus have come down a lot following weak Q1 deliveries. We are well ahead on WWD. We favor ATI over CRS.

Aero: Aero has underperformed by ~5% on average so far during earnings. Overall, we estimate aero aftermarket multiples have compressed 15-20% since Feb high, now trading at 18x EV/EBITDA and 27x PE (2028).

Results: High-teens aftermarket growth so far on average has come through slightly above expectations. GE lowered its annual departures forecast to flat-LSD from MSD, which looks extremely conservative barring a global recession. Mid-teens OE growth so far with BA maintaining its delivery guidance and production ramp cadence, including 737 increasing to 47/mo by summer.

Defense: Defense has underperformed by ~7% on average so far during earnings with results mostly as expected, while guidance was left unchanged. Revenue up MSD on average (Raytheon +9%/NOC +5%/LMT flat) despite negative work week compare LMT/NOC.

Government services: CACI reported 7% organic growth with 0.9x book-to-bill and completed its acquisition of ARKA Group.

David Strauss
Equity Analyst | Wells Fargo Securities, LLC
David.Strauss@wellsfargo.com | 212-214-8052

Joshua Korn
Associate Equity Analyst | Wells Fargo Securities, LLC
Joshua.T.Korn@wellsfargo.com | 212-214-6421

Ben Tomick
Associate Equity Analyst | Wells Fargo Securities, LLC
Ben.Tomick@wellsfargo.com | 332-295-4224

All estimates/forecasts are as of 4/27/2026 unless otherwise stated. 4/27/2026 9:42:10EDT. Please see page 40 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

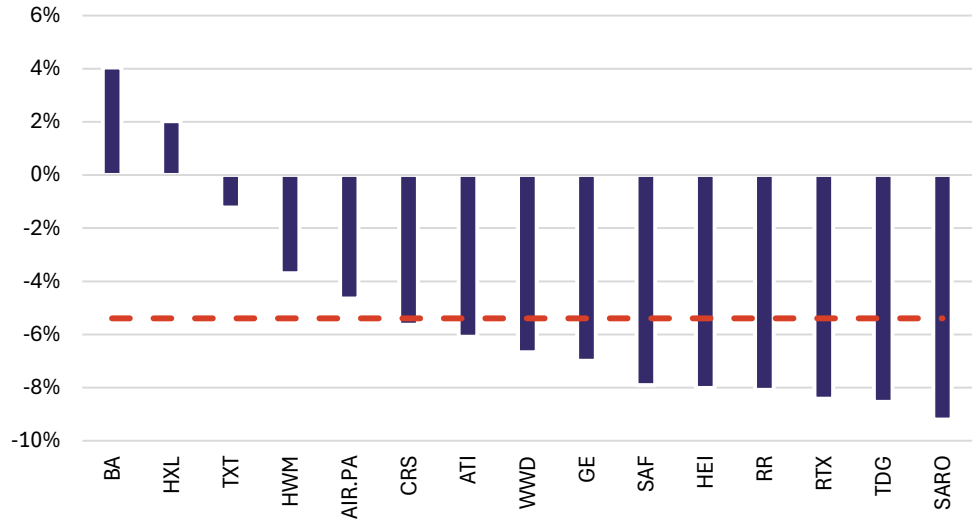
Financials

Company Name (Ticker)	Rating	Price 04/24/26	FY EPS 2026E Curr.	FY EPS 2026E Prior	FY EPS 2027E Curr.	FY EPS 2027E Prior	FY P/E 2026	FY P/E 2027	Price Target To	Price Target From	Upside PT	Downside PT
Aerospace & Defense												
Airbus SE (AIR-FR)	EW	€165.92	€7.60	NC	€9.15	NC	21.8x	18.1x	€175.00	NC	€200.00	€155.00
ATI Inc. (ATI)	OW	$154.26	$4.35	NC	$5.45	NC	35.5x	28.3x	$175.00	NC	$200.00	$130.00
BWX Technologies, Inc. (BWXT)	UW	$223.15	$4.65	NC	$5.10	NC	48.0x	43.8x	$200.00	NC	$230.00	$170.00
Carpenter Technology Corporation (CRS)	EW	$427.48	$10.50	NC	$12.50	NC	40.7x	34.2x	$400.00	NC	$455.00	$340.00
GE Aerospace (GE)	OW	$284.60	$7.65	$7.85	$9.15	$9.45	37.2x	31.1x	$325.00	NC	$375.00	$270.00
General Dynamics Corporation (GD)	OW	$313.21	$16.40	NC	$17.80	NC	19.1x	17.6x	$400.00	NC	$460.00	$330.00
HEICO Corporation (HEI)	EW	$264.04	$5.75	NC	$6.45	NC	45.9x	40.9x	$290.00	NC	$330.00	$250.00
Hexcel Corporation (HXL)	OW	$89.39	$2.30	$2.25	$3.00	NC	38.9x	29.8x	$95.00	NC	$110.00	$75.00
Howmet Aerospace Inc. (HWM)	EW	$242.44	$4.75	NC	$5.65	NC	51.0x	42.9x	$240.00	NC	$275.00	$220.00
Huntington Ingalls Industries, Inc. (HII)	EW	$359.29	$17.75	NC	$20.65	NC	20.2x	17.4x	$400.00	NC	$460.00	$365.00
Lockheed Martin Corporation (LMT)	EW	$513.45	$30.00	NC	$32.50	$32.10	17.1x	15.8x	$650.00	NC	$750.00	$560.00
Northrop Grumman Corporation (NOC)	OW	$575.11	$27.90	$27.75	$29.50	NC	20.6x	19.5x	$800.00	NC	$920.00	$660.00
Rolls-Royce Holdings plc (RR-GB)	OW	£11.29	£0.43	NC	£0.52	NC	26.5x	21.5x	£13.50	NC	£15.50	£11.00
RTX Corporation (RTX)	EW	$174.26	$7.00	$6.85	$7.80	$7.70	24.9x	22.3x	$200.00	NC	$230.00	$170.00
Safran SA (SAF-FR)	OW	€270.00	€10.25	€10.15	€13.25	€13.20	26.3x	20.4x	€325.00	NC	€375.00	€270.00
StandardAero Inc. (SARO)	OW	$24.54	$1.45	NC	$1.75	NC	16.9x	14.0x	$32.00	NC	$37.00	$22.00
Textron Inc. (TXT)	EW	$87.96	$6.50	NC	$7.25	NC	13.5x	12.1x	$92.00	NC	$105.00	$75.00
The Boeing Company (BA)	OW	$232.44	$0.50	$1.55	$6.49	$6.40	NM	35.8x	$250.00	NC	$285.00	$185.00
TransDigm Group Incorporated (TDG)	EW	$1,148.18	$40.75	NC	$49.10	NC	28.2x	23.4x	$1,200.00	NC	$1,350.00	$1,050.00
Woodward, Inc. (WWD)	OW	$364.95	$9.05	NC	$10.95	NC	40.3x	33.3x	$440.00	NC	$510.00	$335.00
Government Services												
Booz Allen Hamilton Holding Corporation (BAH)	EW	$78.74	$6.05	NC	$6.10	NC	13.0x	12.9x	$85.00	NC	$100.00	$72.00
CACI International Inc (CACI)	OW	$516.54	$28.50	$28.95	$31.00	$33.00	18.1x	16.7x	$725.00	NC	$835.00	$550.00
Leidos Holdings, Inc. (LDOS)	EW	$146.06	$12.30	NC	$12.80	NC	11.9x	11.4x	$165.00	NC	$190.00	$140.00
Space												
Rocket Lab Corporation (RKLB)*	EW	$79.68	$859.5	NC	$1.20B	NC			$60.00	NC	$75.00	$55.00
Voyager Technologies Inc. (VOYG)	UW	$28.68	$(2.90)	$(2.35)	$(1.36)	$(1.16)	NM	NM	$21.00	NC	$25.00	$15.00
York Space Systems Inc. (YSS)*	OW	$31.06	$570.0	NC	$842.3	NC	5.9x	4.0x	$35.00	NC	$48.00	$22.00

** For RKLB estimates represent Rev. (MM), valuation multiple not available*
** For YSS estimates represent Rev. (MM), valuation multiple EV/Revenue*
TDG EPS:
Source: Company data and Wells Fargo Securities, LLC estimates, and Factset.
OW = Overweight, EW = Equal Weight, UW = Underweight, NR = Not Rated
NA = Not Available, NC = No Change, NE = No Estimate, NM = Not Meaningful

Earnings

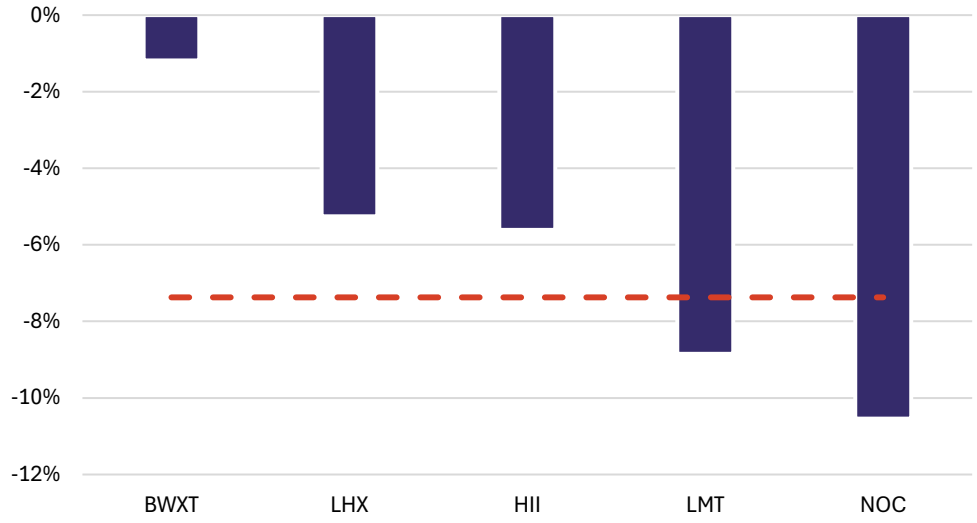
Exhibit 1 - Aerospace Relative Performance (vs S&P 500) Since Start of Q1 Earnings



Source: Bloomberg

Relative performance during 4/20/26-4/23/26.

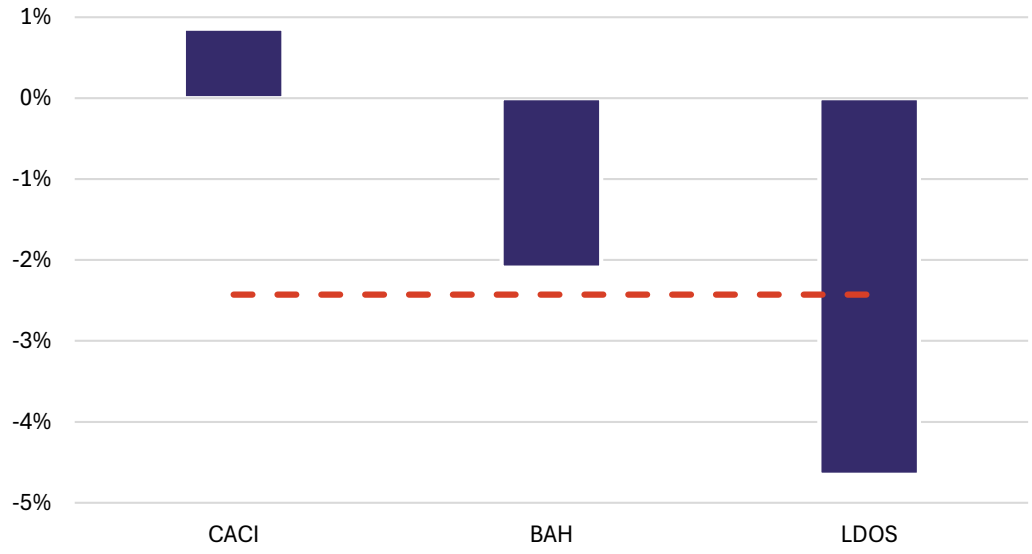
Exhibit 2 - Defense Relative Performance (vs S&P 500) Since Start of Q1 Earnings



Source: Bloomberg

Relative performance during 4/20/26-4/23/26.

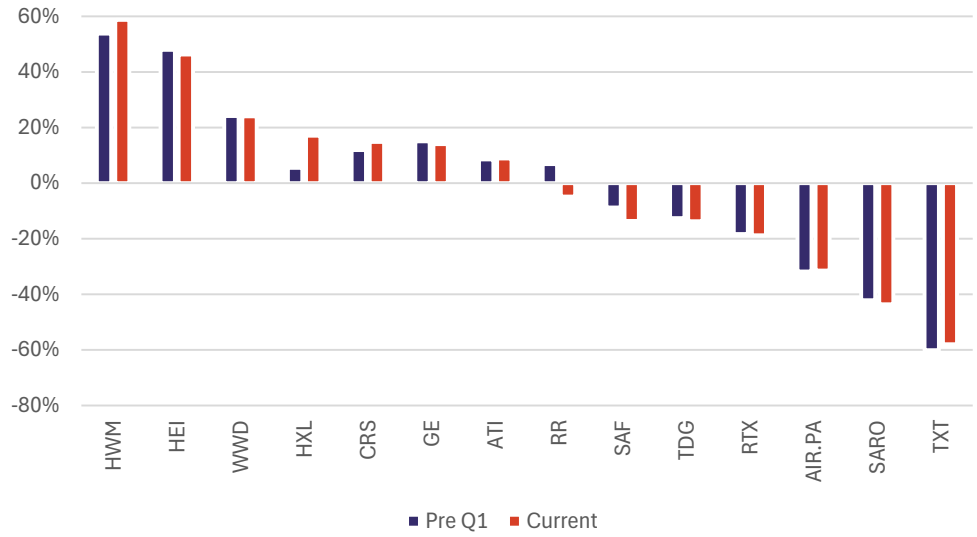
Exhibit 3 - Government Services Relative Performance (vs S&P 500) Since Start of Q1 Earnings



Source: Bloomberg

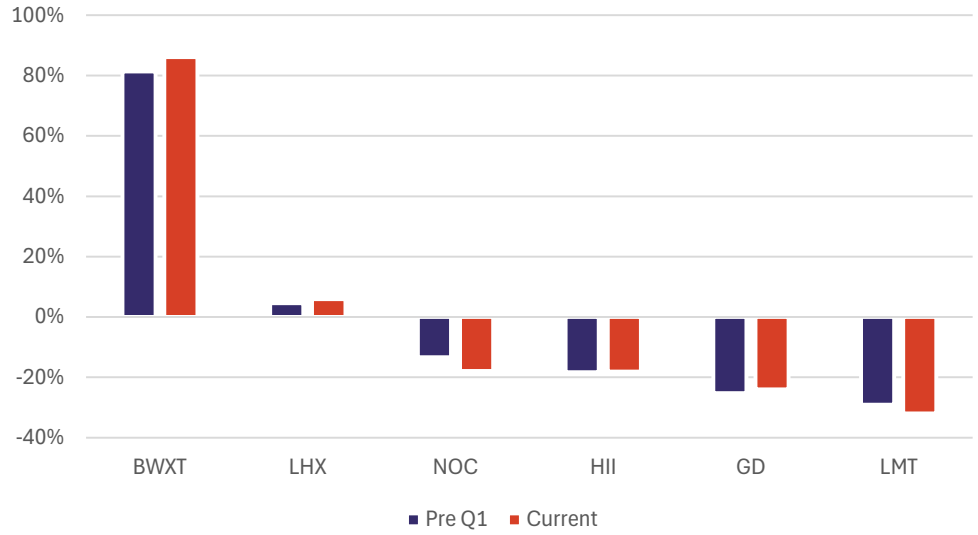
Relative performance during 4/20/26-4/23/26.

Exhibit 4 - Aerospace Relative Valuation (vs Aero Avg) Before vs During Q1 Earnings



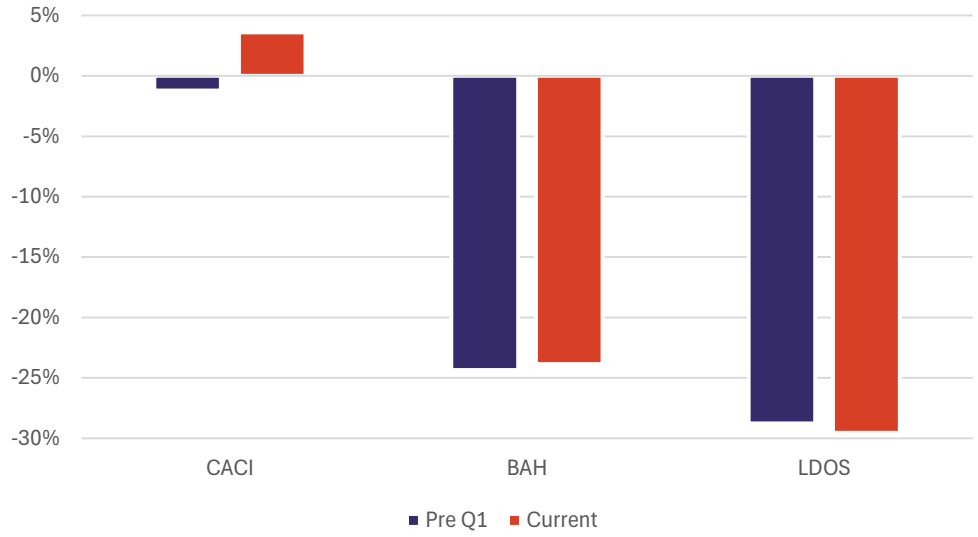
Source: Bloomberg

Exhibit 5 - Defense Relative Valuation (vs Defense Avg) Before vs During Q1 Earnings



Source: Bloomberg

Exhibit 6 - Government Services Relative Valuation (vs Gov Services Avg) Before vs During Q1 Earnings



Source: Bloomberg

Exhibit 7 - Q1 OE vs Aftermarket Growth

	OE	AM
Boeing	13%	2%
GE	23%	39%
Honeywell	3%	3%
Hexcel	19%	
Collins Aerospace Systems	15%	7%
Pratt & Whitney	-1%	19%
Safran	24%	32%
Average	**14%**	**17%**

Source: Company Reports

Exhibit 8 - Company Rating and Price Target - Aerospace

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
SARO	OW	8.1	$24	$32	31%
WWD	OW	21.9	$368	$440	20%
SAF	OW	116.7	£279.0	£325.0	16%
RR.L	OW	97.4	€ 12	€ 14	16%
GE	OW	294.6	$282	$325	15%
ATI	OW	21.0	$154	$175	14%
RTX	EW	241.5	$179	$200	12%
HEI	EW	32.3	$269	$290	8%
BA	OW	184.6	$234	$250	7%
AIR.PA	EW	133.2	€ 168	€ 175	4%
HXL	OW	6.9	$91	$95	4%
TDG	EW	65.8	$1,166	$1,200	3%
TXT	EW	15.7	$90	$92	2%
HWM	EW	98.6	$246	$240	-3%
CRS	EW	21.3	$427	$400	-6%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 4/23/26

Exhibit 9 - Company Rating and Price Target - Defense

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
NOC	OW	83.5	$588	$800	36%
GD	OW	86.3	$319	$400	26%
LMT	EW	122.2	$530	$650	23%
HII	EW	14.6	$370	$400	8%
BWXT	UW	20.7	$226	$200	-11%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 4/23/26

Exhibit 10 - Company Rating and Price Target - Government Services

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
CACI	OW	11.6	$526	$725	38%
LDOS	EW	18.6	$148	$165	12%
BAH	EW	9.5	$79	$85	8%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 4/23/26

Exhibit 11 - Company Rating and Price Target - Space

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
YSS	OW	4.6	$36	$35	-2%
RKLB	EW	53.4	$85	$60	-29%
VOYG	UW	1.8	$30	$21	-30%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 4/23/26

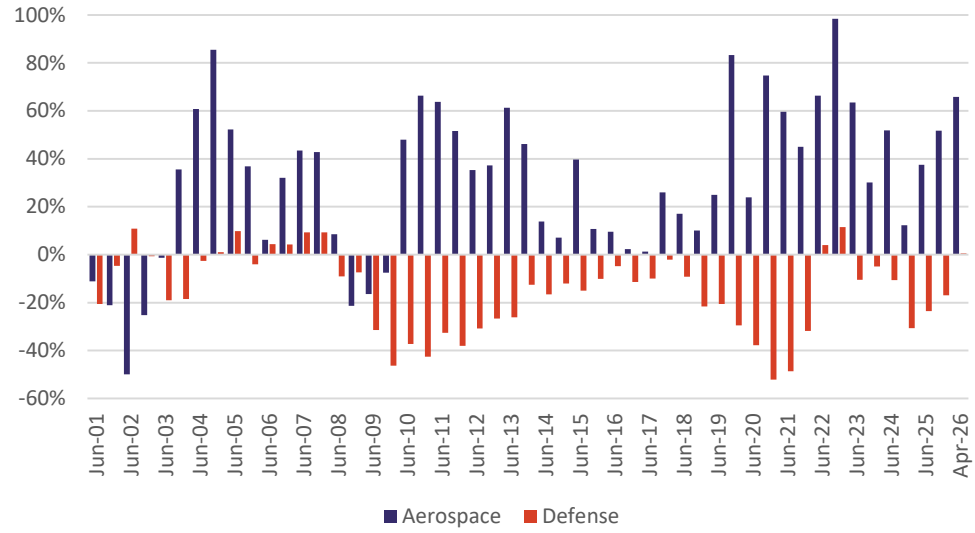
Exhibit 12 - Coverage Comp Table

Company	Ticker	Rating	Price Target	Share Price	Market Cap ($B)	Net Debt ($B)	EV ($B)	Net Debt to EBITDA	P/E		EV/EBITDA		FCF Yield		Dividend Yield
									FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	
Aero															
ATI Inc	ATI	OW	$175	$154	21.0	1.3	22.7	1.3x	35.4x	28.3x	22.3x	19.1x	2.2%	2.9%	0.0%
Boeing Co	BA	OW	$250	$234	184.6	26.3	216.6	4.9x	n/a	36.1x	40.6x	19.0x	1.4%	3.5%	0.0%
Carpenter Technology	CRS	EW	$400	$427	21.3	0.5	21.7	0.5x	40.6x	34.1x	25.8x	22.3x	1.6%	2.0%	0.2%
General Electric Co	GE	OW	$325	$282	294.6	9.3	342.3	0.8x	36.9x	30.9x	30.2x	26.2x	2.9%	3.4%	0.5%
HEICO Corp	HEI	EW	$290	$269	32.3	2.2	35.1	1.6x	46.7x	41.7x	25.1x	22.6x	2.9%	3.5%	0.1%
Howmet Aerospace	HWM	EW	$240	$246	98.6	2.3	101.1	0.8x	51.8x	43.6x	34.2x	29.8x	1.8%	2.1%	0.2%
Hexcel Corp	HXL	OW	$95	$91	6.9	0.9	7.8	2.4x	39.7x	30.5x	20.0x	17.3x	3.1%	4.2%	0.8%
RTX Corp	RTX	EW	$200	$179	241.5	30.6	275.3	2.9x	25.6x	23.0x	26.2x	23.1x	3.6%	4.3%	1.6%
StandardAero Inc	SARO	OW	$32	$24	8.1	1.9	9.1	2.1x	16.7x	13.9x	10.1x	8.9x	3.7%	6.1%	0.0%
TransDigm Group	TDG	EW	$1,200	$1,166	65.8	27.5	93.4	5.0x	28.6x	23.7x	17.0x	15.0x	3.6%	4.2%	7.8%
Textron	TXT	EW	$92	$90	15.7	1.6	19.3	0.9x	13.9x	12.5x	11.3x	10.6x	4.6%	5.4%	0.1%
Woodward	WWD	OW	$440	$368	21.9	0.4	22.4	0.5x	40.6x	33.6x	25.8x	22.0x	1.7%	2.5%	0.3%
Average								**2.0x**	**34.2x**	**29.3x**	**24.0x**	**19.7x**	**2.8%**	**3.7%**	**1.0%**
Defense															
BWX Technologies	BWXT	UW	$200	$226	20.7	2.0	22.2	3.1x	48.5x	44.3x	34.0x	31.4x	1.6%	2.0%	0.5%
General Dynamics Corp	GD	OW	$400	$319	86.3	5.7	93.8	0.9x	19.4x	17.9x	14.1x	13.2x	5.1%	5.4%	1.9%
HII Inc	HII	EW	$400	$370	14.6	1.9	16.8	1.8x	20.9x	17.9x	15.5x	13.8x	4.0%	4.2%	1.5%
Lockheed Martin Corp	LMT	EW	$650	$530	122.2	18.8	141.0	1.7x	17.7x	16.3x	12.5x	11.7x	5.4%	5.8%	2.6%
Northrop Grumman	NOC	OW	$800	$588	83.5	13.1	98.5	2.1x	21.1x	19.9x	15.7x	14.9x	4.0%	4.3%	1.6%
Average								**1.9x**	**25.5x**	**23.3x**	**18.4x**	**17.0x**	**4.0%**	**4.3%**	**1.8%**
Europe A&D															
Airbus Group NV	AIR.PA	EW	€ 175	€ 168	133.2	(13.0)	117.8	-1.2x	22.1x	18.4x	10.7x	9.3x	3.4%	4.3%	1.9%
Rolls-Royce PLC	RR.L	OW	£13.50	£12	97.4	(2.0)	95.5	-0.4x	27.2x	22.1x	17.9x	15.2x	4.1%	5.1%	0.9%
Safran SA	SAF	OW	€ 325	€ 279	116.7	(1.7)	115.6	-0.2x	27.2x	21.1x	14.0x	12.4x	4.0%	5.0%	1.1%
Average								**-0.6x**	**25.5x**	**20.5x**	**14.2x**	**12.3x**	**3.9%**	**4.8%**	**1.3%**
Government Services															
Booz Allen Hamilton	BAH	EW	$85	$79	9.5	3.1	12.8	2.6x	13.1x	12.9x	10.7x	10.5x	9.7%	8.9%	2.8%
CACI International Inc	CACI	OW	$725	$526	11.6	5.0	17.1	4.4x	18.5x	17.0x	14.8x	13.2x	6.1%	7.4%	0.0%
Leidos Inc	LDOS	EW	$165	$148	18.6	3.5	22.9	1.4x	12.0x	11.5x	9.1x	8.8x	8.1%	8.9%	1.1%
Average								**2.8x**	**14.5x**	**13.8x**	**11.6x**	**10.8x**	**8.0%**	**8.4%**	**1.3%**
Space															
Rocket Lab Corp	RKLB	EW	$60	$85	53.4	(0.7)	52.6	5.3x	n/a	n/a	n/a	n/a	-0.7%	-0.7%	0.0%
Voyager Technologies Inc	VOYG	UW	$21	$30	1.8	0.5	1.8	-4.0x	n/a	n/a	n/a	n/a	-11.6%	-7.7%	0.0%
York Space Systems	YSS	OW	$35	$36	4.6	(0.6)	4.0	-17.2x	n/a	79.7x	115.1x	30.1x	0.2%	2.1%	0.0%
Average								**4.2x**	**n/a**	**79.7x**	**115.1x**	**30.1x**	**-4.1%**	**-2.1%**	**0.0%**

Source: Bloomberg and Wells Fargo Securities, LLC estimates

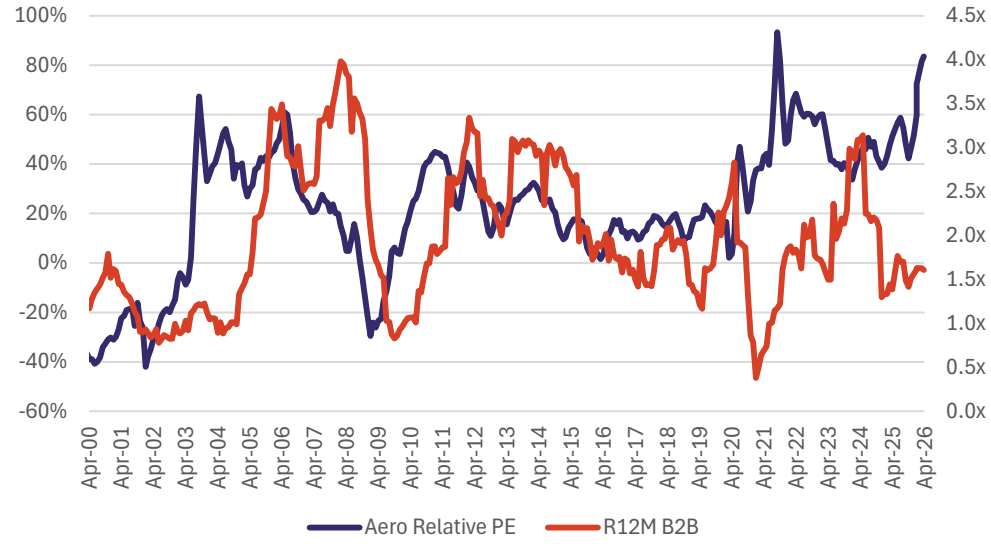
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Exhibit 13 - Aerospace & Defense Relative Valuation (T12M P/E)



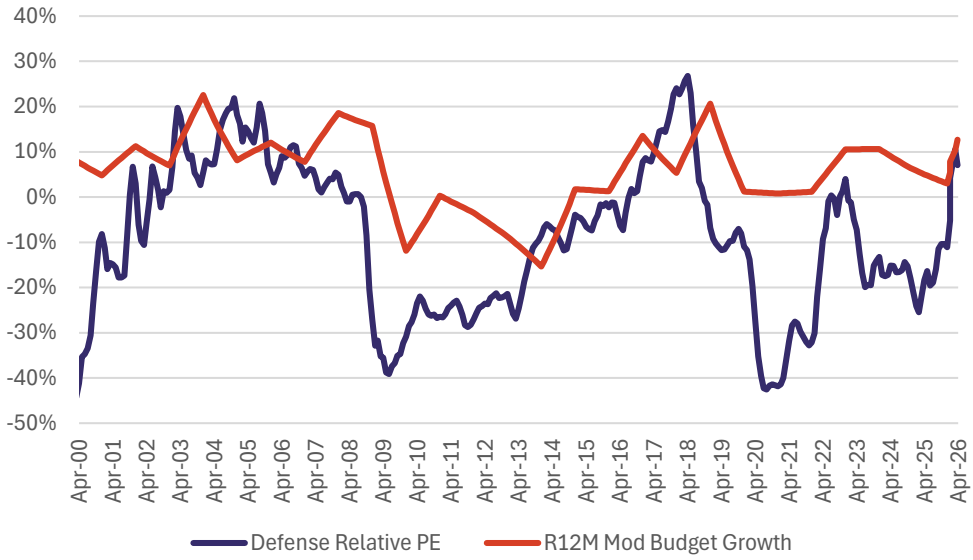
Source: Bloomberg

Exhibit 14 - Aero Relative P/E Multiple vs Book to Bill



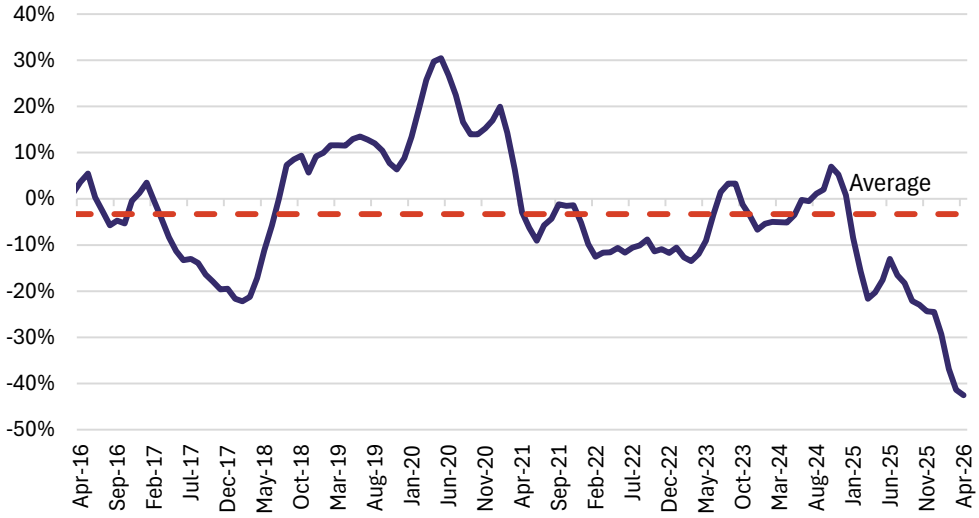
Source: Bloomberg, Company Reports, and Wells Fargo Securities, LLC

Exhibit 15 - Defense Relative P/E Multiple vs Modernization Budget Grwoth



Source: Bloomberg, DoD, and Wells Fargo Securities, LLC

Exhibit 16 - Government Services Relative P/E Multiple vs Defense



Source: Bloomberg

Government services includes BAH/CACI/LDOS/SAIC, defense includes GD/HII/LHX/LMT/NOC.

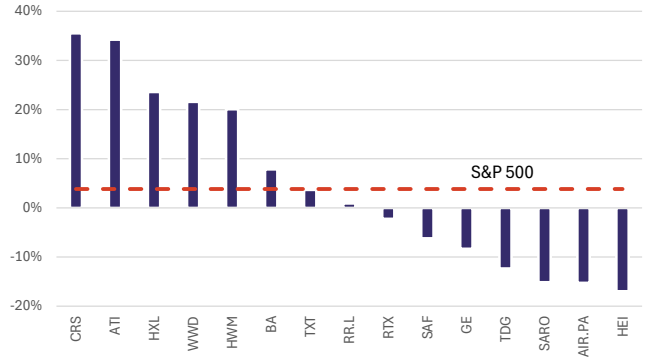
Exhibit 17 - Absolute and Relative Performance

		Absolute Performance				Relative Performance			
Company	Ticker	5D	1M	3M	YTD	5D	1M	3M	YTD
Aerospace OEMs									
Boeing Co	BA	5%	18%	-7%	8%	5%	10%	-10%	4%
Bombardier Inc	BBD	-8%	2%	-8%	5%	-8%	-6%	-10%	1%
Embraer SA	ERJ	-7%	7%	-20%	-2%	-7%	-1%	-23%	-6%
Textron Inc	TXT	-1%	2%	-5%	4%	-1%	-7%	-8%	0%
Weighted Average		3%	15%	-8%	7%	3%	7%	-10%	3%
Aerospace Suppliers									
ATI Inc	ATI	-6%	5%	25%	34%	-6%	-3%	22%	30%
Carpenter Technology Corp	CRS	-4%	14%	27%	36%	-4%	6%	24%	32%
General Electric	GE	-7%	-3%	-4%	-8%	-7%	-11%	-7%	-12%
HEICO Corp	HEI	-8%	-4%	-20%	-17%	-8%	-12%	-22%	-21%
Hexcel Corp	HXL	3%	15%	9%	24%	3%	7%	6%	20%
Honeywell International Inc	HON	-8%	-4%	-3%	10%	-8%	-12%	-6%	6%
Howmet Aerospace Inc.	HWM	-4%	4%	15%	20%	-3%	-4%	12%	16%
Raytheon Technologies Corporation	RTX	-9%	-8%	-8%	-2%	-8%	-16%	-11%	-6%
StandardAero, Inc.	SARO	-9%	-7%	-26%	-15%	-9%	-15%	-29%	-19%
TransDigm Group Inc	TDG	-8%	1%	-18%	-12%	-8%	-7%	-21%	-16%
Woodward Inc	WWD	-7%	2%	12%	22%	-7%	-6%	10%	18%
Weighted Average		-7%	-3%	-3%	1%	-7%	-11%	-6%	-3%
Defense									
BWXT Technologies Inc	BWXT	-4%	10%	9%	30%	-4%	2%	6%	27%
Curtiss-Wright Corp	CW	-1%	5%	12%	32%	-1%	-3%	9%	28%
Leonardo DRS Inc	DRS	-7%	-7%	1%	21%	-7%	-15%	-2%	18%
General Dynamics Corp	GD	-5%	-8%	-12%	-5%	-5%	-16%	-15%	-9%
Karman Holdings	KRMN	-8%	-25%	-29%	5%	-8%	-33%	-32%	1%
L3Harris Technologies Inc	LHX	-6%	-4%	-7%	12%	-5%	-12%	-10%	9%
HII Inc	HII	-6%	-7%	-12%	9%	-6%	-15%	-14%	5%
Lockheed Martin Corp	LMT	-11%	-14%	-10%	10%	-10%	-22%	-13%	6%
Mercury Systems Inc	MRCY	-6%	1%	-20%	8%	-6%	-7%	-23%	4%
Northrop Grumman Corp	NOC	-12%	-14%	-13%	3%	-11%	-22%	-15%	-1%
Weighted Average		-8%	-9%	-9%	8%	-8%	-17%	-12%	4%
Europe A&D									
Airbus Group NV	AIR.PA	-6%	1%	-19%	-15%	-4%	-5%	-18%	-17%
BAE Systems	BAES.L	-8%	-3%	3%	21%	-6%	-8%	0%	16%
Melrose Industries PLC	MRON.L	-10%	4%	-20%	-13%	-8%	-2%	-23%	-19%
MTU Aero Engines AG	MTX	-13%	-5%	-20%	-15%	-11%	-11%	-17%	-14%
Rheinmetall	RHM	-6%	-5%	-23%	-10%	-4%	-12%	-20%	-9%
Rolls-Royce PLC	RR.L	-11%	-2%	-7%	1%	-10%	-8%	-10%	-4%
Safran SA	SAF	-12%	-3%	-10%	-6%	-9%	-9%	-9%	-8%
Weighted Average		-9%	-2%	-12%	-4%	-7%	-8%	-12%	-7%
Space									
Firefly Aerospace, Inc.	FLY	-12%	61%	32%	72%	-12%	53%	30%	n/a
MDA Ltd.	MDA	-7%	1%	23%	69%	-6%	-7%	20%	65%
Rocket Lab Corp	RKLB	0%	24%	-5%	21%	0%	16%	-8%	17%
Intuitive Machines	LUNR	0%	36%	38%	70%	0%	28%	35%	66%
Voyager Technologies Inc.	VOYG	-4%	8%	-19%	15%	-4%	0%	-22%	11%
York Space Systems	YSS	0%	54%	n/a	6%	0%	46%	n/a	2%
Weighted Average		-2%	27%	3%	33%	-1%	19%	0%	23%
Government & Engineering Services									
Booz Allen Hamilton	BAH	-3%	-1%	-23%	-6%	-3%	-9%	-26%	-10%
CACI International Inc	CACI	0%	-11%	-20%	-1%	0%	-19%	-23%	-5%
Leidos Holdings Inc	LDOS	-5%	-9%	-23%	-18%	-5%	-17%	-26%	-22%
Parsons Corp.	PSN	-7%	1%	-29%	-16%	-7%	-7%	-32%	-20%
Science Applications Int.	SAIC	0%	-2%	-14%	-5%	0%	-10%	-16%	-9%
Weighted Average		-3%	-6%	-22%	-11%	-3%	-14%	-25%	-14%

Source: Bloomberg

2026 YTD through 4/23/26

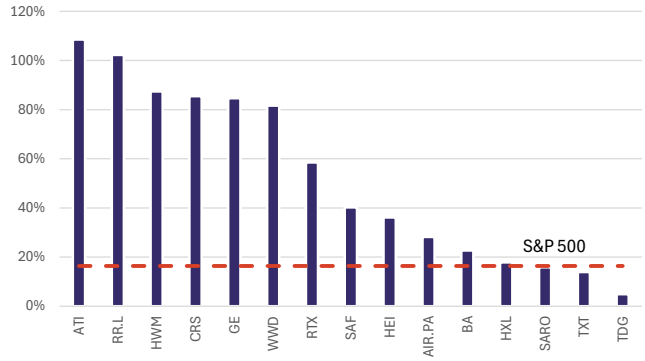
Exhibit 18 - YTD Absolute Performance - Aerospace



Source: Bloomberg

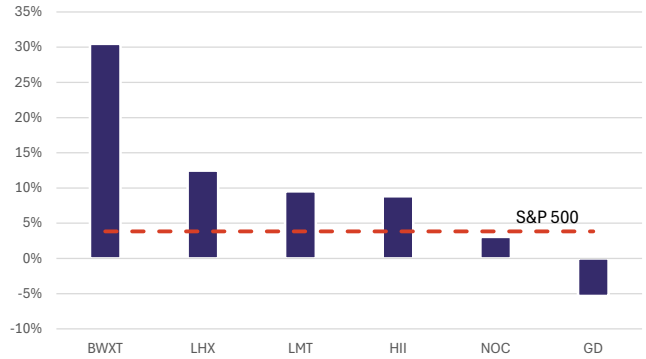
2026 YTD through 4/23/26

Exhibit 19 - 2025 Absolute Performance - Aerospace



Source: Bloomberg

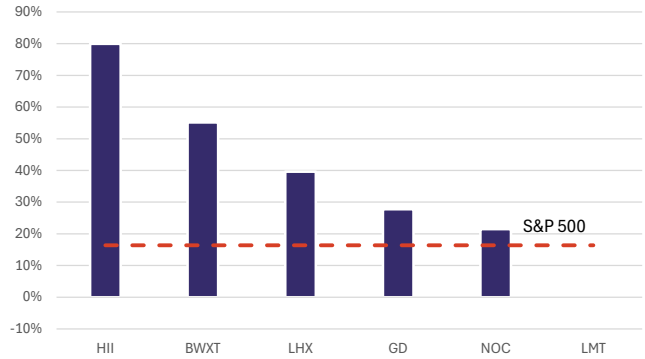
Exhibit 20 - YTD Absolute Performance - Defense



Source: Bloomberg

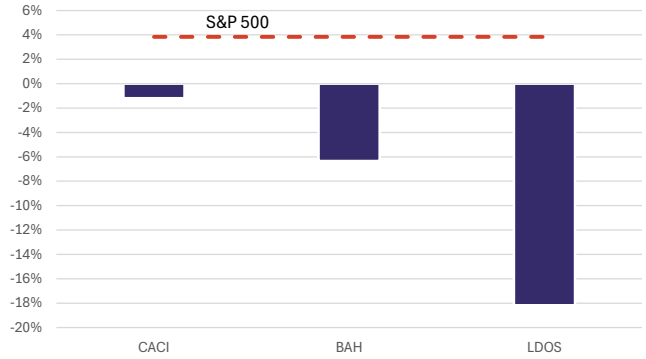
2026 YTD through 4/23/26

Exhibit 21 - 2025 Absolute Performance - Defense



Source: Bloomberg

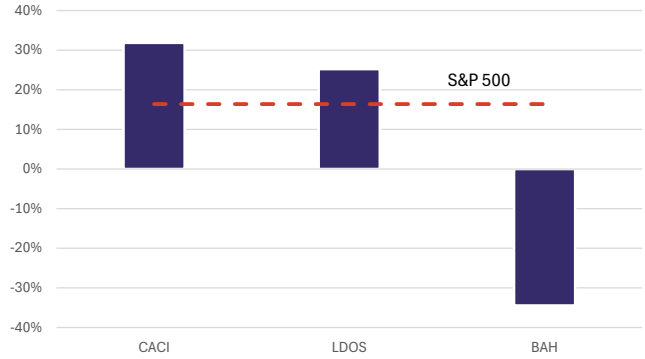
Exhibit 22 - YTD Absolute Performance - Government Services



Source: Bloomberg

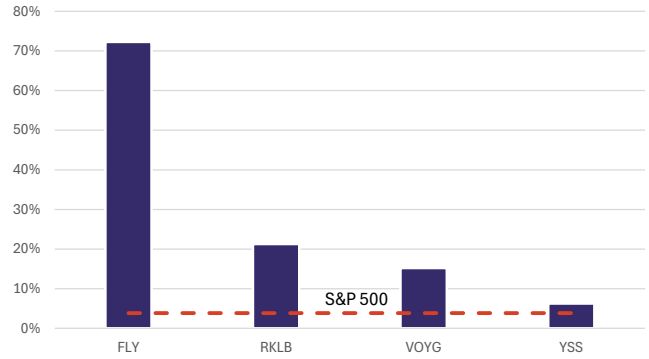
2026 YTD through 4/23/26

Exhibit 23 - 2025 Absolute Performance - Government Services



Source: Bloomberg

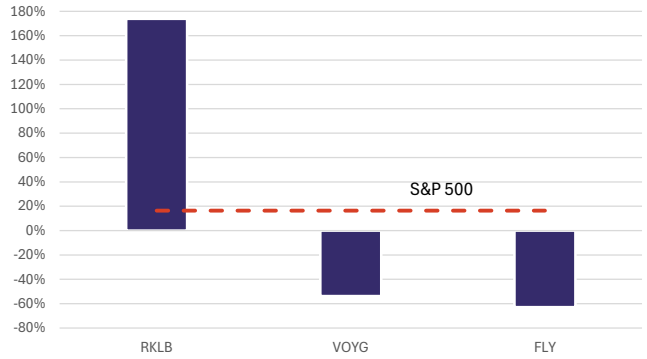
Exhibit 24 - YTD Absolute Performance - Space



Source: Bloomberg

2026 YTD through 4/23/26

Exhibit 25 - 2025 Absolute Performance - Space



Source: Bloomberg

Exhibit 26 - Total Return Heat Map

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
AIR.PA	53%	4%	35%	3%	58%	-31%	25%	0%	28%	13%	31%	-14%
ATI	-67%	44%	52%	-10%	-5%	-19%	-5%	87%	52%	21%	109%	34%
BA	14%	11%	95%	12%	3%	-34%	-6%	-5%	37%	-32%	23%	8%
BAH	19%	19%	8%	20%	60%	24%	-1%	26%	24%	2%	-33%	-6%
BWXT	48%	26%	54%	-36%	64%	-2%	-19%	23%	34%	47%	56%	31%
CACI	8%	34%	6%	9%	74%	0%	8%	12%	8%	25%	32%	-1%
CRS	-37%	22%	43%	-29%	42%	-39%	3%	30%	95%	142%	86%	36%
FLY	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	72%
GD	2%	28%	20%	-21%	15%	-13%	44%	22%	7%	4%	30%	-4%
GE	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	65%	86%	-8%
HEI	-10%	42%	53%	29%	48%	16%	9%	7%	17%	33%	36%	-17%
HII	14%	47%	29%	-18%	34%	-30%	12%	26%	15%	-26%	84%	9%
HWM	n/a	n/a	n/a	n/a	n/a	9%	12%	24%	38%	103%	88%	20%
HXL	13%	12%	21%	-6%	29%	-34%	7%	14%	26%	-14%	19%	24%
LDOS	34%	27%	29%	-17%	89%	9%	-14%	20%	5%	35%	27%	-18%
LHX	n/a	n/a	n/a	n/a	49%	-3%	15%	0%	4%	2%	42%	13%
LMT	16%	18%	32%	-16%	53%	-6%	3%	40%	-4%	10%	2%	10%
NOC	30%	25%	34%	-19%	43%	-10%	29%	43%	-13%	2%	24%	3%
RKLB	n/a	n/a	n/a	n/a	n/a	n/a	21%	-69%	47%	361%	174%	21%
RR	-32%	18%	29%	-1%	-17%	-53%	10%	-24%	222%	90%	105%	1%
RTX	n/a	n/a	n/a	n/a	n/a	-17%	23%	20%	-14%	41%	61%	-2%
SAF.PA	26%	10%	27%	25%	33%	-16%	-7%	9%	38%	34%	42%	-6%
SARO	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	16%	-15%
TDG	16%	19%	20%	24%	84%	11%	3%	2%	67%	32%	12%	-12%
TXT	0%	16%	17%	-19%	-3%	9%	60%	-8%	14%	-5%	14%	4%
VOYG	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	15%
WWD	2%	40%	12%	-2%	60%	3%	-9%	-11%	42%	23%	83%	22%
YSS	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	6%

Source: Bloomberg

2026 YTD through 4/23/26

Exhibit 27 - Consensus 2026 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	4/23	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ATI	$3.62	$3.65	$3.89	$4.16	$4.20	$4.20	16%	15%	8%	1%	0%
BA	$9.38	$3.67	$2.02	$0.03	-$0.27	-$0.11	-101%	-103%	-106%	-465%	-58%
CRS	$6.45	$8.87	$10.13	$10.22	$10.27	$10.27	59%	16%	1%	0%	0%
GE	$6.37	$6.45	$7.32	$7.42	$7.46	$7.51	18%	16%	2%	1%	1%
HEI	$4.76	$4.96	$5.52	$5.63	$5.64	$5.64	18%	14%	2%	0%	0%
HWM	$3.06	$3.92	$4.46	$4.59	$4.64	$4.64	52%	19%	4%	1%	0%
HXL	$3.60	$2.64	$2.24	$2.23	$2.23	$2.23	-38%	-16%	-1%	0%	0%
RTX	$6.84	$6.74	$6.69	$6.83	$6.84	$6.88	1%	2%	3%	1%	1%
SARO	n/a	$1.16	$1.18	$1.36	$1.26	$1.26	n/a	8%	7%	-8%	0%
TDG	$42.39	$43.11	$39.38	$39.03	$39.06	$39.00	-8%	-10%	-1%	0%	0%
TXT	$7.52	$6.81	$6.84	$6.47	$6.49	$6.51	-13%	-4%	-5%	1%	0%
WWD	$7.14	$7.25	$8.04	$8.73	$8.77	$8.76	23%	21%	9%	0%	0%
Median							16%	11%	2%	0%	0%
Defense											
BWXT	$4.07	$3.87	$4.32	$4.53	$4.61	$4.62	13%	19%	7%	2%	0%
GD	$17.62	$16.72	$17.24	$16.23	$16.27	$16.27	-8%	-3%	-6%	0%	0%
HII	$20.41	$15.81	$17.74	$17.40	$17.19	$17.19	-16%	9%	-3%	-1%	0%
LMT	$29.55	$29.78	$29.09	$29.80	$29.81	$29.82	1%	0%	3%	0%	0%
NOC	$29.29	$28.76	$28.97	$28.02	$28.03	$27.98	-4%	-3%	-3%	0%	0%
Median							-4%	0%	-3%	0%	0%
Europe A&D											
AIR.PA	€ 10.20	€ 8.06	€ 7.80	€ 7.38	€ 7.30	€ 7.28	-29%	-10%	-7%	-1%	0%
RR.L	£0.21	£0.28	£0.33	£0.34	£0.37	£0.37	75%	31%	12%	6%	0%
SAF	€ 9.89	€ 10.01	€ 10.58	€ 10.11	€ 10.01	€ 9.99	1%	0%	-6%	-1%	0%
Median							1%	0%	-6%	-1%	0%
Services											
BAH	$6.50	$6.89	$5.78	$6.09	$6.07	$6.07	-7%	-12%	5%	0%	0%
CACI	$24.77	$27.35	$28.41	$28.72	$28.45	$28.39	15%	4%	0%	-1%	0%
LDOS	$9.62	$11.55	$12.35	$12.29	$12.30	$12.30	28%	7%	0%	0%	0%
Median							15%	4%	0%	0%	0%
Space											
RKLB	$0.20	-$0.03	-$0.17	-$0.24	-$0.23	-$0.22	-212%	669%	33%	-6%	-2%
VOYG	n/a	n/a	-$1.28	-$2.57	-$2.48	-$2.48	n/a	n/a	94%	-3%	0%
YSS	n/a	n/a	n/a	-$0.05	-$0.06	-$0.06	n/a	n/a	n/a	2%	0%
Median							-212%	669%	63%	-3%	0%

Source: Bloomberg

Exhibit 28 - Consensus 2027 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	4/23	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ATI	$4.45	$4.31	$4.72	$4.99	$5.12	$5.12	15%	19%	8%	3%	0%
BA	$11.73	$6.66	$5.85	$4.63	$4.59	$4.40	-62%	-34%	-25%	-5%	-4%
CRS	n/a	$10.88	$11.96	$12.10	$12.14	$12.15	n/a	12%	2%	0%	0%
GE	$6.90	$7.48	$8.36	$8.53	$8.60	$8.65	25%	16%	4%	1%	1%
HEI	$5.37	$5.59	$6.22	$6.32	$6.31	$6.31	17%	13%	1%	0%	0%
HWM	$3.53	$4.48	$5.23	$5.47	$5.56	$5.57	58%	24%	7%	2%	0%
HXL	$4.01	$3.23	$3.28	$3.22	$3.17	$3.17	-21%	-2%	-3%	-1%	0%
RTX	$7.17	$7.44	$7.41	$7.54	$7.55	$7.54	5%	1%	2%	0%	0%
SARO	n/a	$1.49	$1.46	$1.64	$1.56	$1.56	n/a	5%	7%	-5%	0%
TDG	$44.44	$48.81	$46.32	$45.68	$45.65	$45.59	3%	-7%	-2%	0%	0%
TXT	$8.24	$7.53	$7.64	$7.33	$7.34	$7.37	-10%	-2%	-4%	1%	0%
WWD	$7.09	$8.38	$9.48	$10.12	$10.23	$10.23	44%	22%	8%	1%	0%
Median							10%	8%	2%	0%	0%
Defense											
BWXT	$4.80	$4.46	$4.89	$5.10	$5.17	$5.19	8%	16%	6%	2%	0%
GD	$19.13	$18.22	$18.94	$17.93	$17.91	$17.96	-6%	-1%	-5%	0%	0%
HII	$23.73	$17.45	$20.52	$20.51	$20.25	$20.24	-15%	16%	-1%	-1%	0%
LMT	$31.22	$31.69	$31.11	$31.95	$32.00	$32.03	3%	1%	3%	0%	0%
NOC	$31.76	$31.04	$31.60	$30.02	$30.05	$30.15	-5%	-3%	-5%	0%	0%
Median							-5%	1%	-1%	0%	0%
Europe A&D											
AIR.PA	€ 11.73	€ 9.55	€ 9.44	€ 8.56	€ 8.61	€ 8.62	-27%	-10%	-9%	1%	0%
RR.L	£0.24	£0.32	£0.37	£0.39	£0.43	£0.43	78%	33%	15%	8%	0%
SAF	€ 10.81	€ 11.34	€ 12.21	€ 12.40	€ 12.34	€ 12.30	14%	8%	1%	-1%	0%
Median							14%	8%	1%	1%	0%
Services											
BAH	$7.18	$7.59	$6.02	$6.22	$6.24	$6.24	-13%	-18%	4%	0%	0%
CACI	$27.88	$29.70	$31.43	$31.77	$31.73	$31.76	14%	7%	1%	0%	0%
LDOS	$3.69	$12.44	$12.89	$12.87	$13.00	$13.06	254%	5%	1%	1%	0%
Median							14%	5%	1%	0%	0%
Space											
RKLB	$0.39	$0.25	$0.12	$0.04	$0.03	$0.03	-92%	-87%	-73%	-20%	10%
VOYG	n/a	n/a	-$0.73	-$0.96	-$0.93	-$0.97	n/a	n/a	34%	2%	5%
YSS	n/a	n/a	n/a	$0.57	$0.57	$0.57	n/a	n/a	n/a	0%	0%
Median							-92%	-87%	-19%	0%	5%

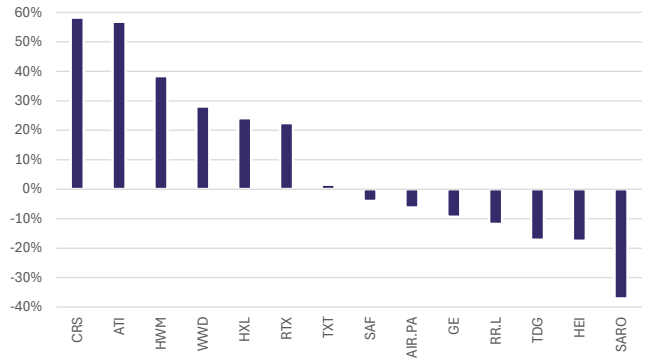
Source: Bloomberg

Exhibit 29 - Valuation vs Historical (P/E)

Company	Ticker	Current	Absolute			Current	Relative to S&P		
			3YR Avg	5YR Avg	10YR Avg		3YR Avg	5YR Avg	10YR Avg
Aero									
Airbus Group NV	AIR.PA	21.8x	23x	24x	24x	0%	8%	14%	22%
ATI Inc	ATI	34.7x	22x	45x	35x	59%	3%	117%	80%
Boeing Co	BA	236.8x	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Carpenter Technology	CRS	36.6x	23x	25x	21x	68%	8%	21%	8%
General Electric Co	GE	36.4x	40x	29x	21x	67%	87%	n/a	n/a
HEICO Corp	HEI	46.6x	56x	55x	49x	114%	163%	166%	149%
Howmet Aerospace	HWM	50.6x	37x	32x	25x	132%	70%	53%	27%
Hexcel Corp	HXL	37.2x	30x	40x	39x	71%	39%	92%	97%
Rolls-Royce PLC	RR.L	30.3x	34x	38x	51x	39%	60%	82%	159%
RTX Corp	RTX	25.8x	21x	20x	16x	19%	-2%	-1%	-17%
Safran SA	SAF	27.5x	29x	30x	28x	27%	33%	44%	40%
StandardAero Inc	SARO	18.0x	29x	29x	29x	-17%	33%	38%	45%
TransDigm Group	TDG	27.5x	33x	34x	31x	26%	54%	63%	55%
Textron	TXT	13.4x	13x	15x	16x	-38%	-39%	-28%	-21%
Woodward	WWD	39.5x	31x	30x	26x	82%	43%	43%	32%
Average		**45.5x**	**30x**	**32x**	**29x**	**46%**	**40%**	**54%**	**52%**
Defense									
BWX Technologies	BWXT	46.8x	34x	27x	25x	115%	57%	32%	26%
General Dynamics Corp	GD	19.1x	18x	18x	17x	-12%	-14%	-13%	-14%
HII Inc	HII	20.6x	16x	16x	15x	-5%	-23%	-23%	-22%
L3Harris Technologies Inc	LHX	26.6x	19x	18x	18x	22%	-11%	-12%	-9%
Lockheed Martin Corp	LMT	17.3x	18x	17x	17x	-21%	-17%	-19%	-12%
Northrop Grumman	NOC	20.6x	19x	19x	18x	-5%	-9%	-9%	-8%
Average		**25x**	**21x**	**19x**	**18x**	**16%**	**-3%**	**-7%**	**-6%**
Government Services									
Booz Allen Hamilton	BAH	12.8x	20x	20x	20x	-41%	-5%	-1%	2%
CACI International Inc	CACI	17.4x	18x	17x	17x	-20%	-18%	-20%	-14%
Leidos Inc	LDOS	11.8x	15x	15x	15x	-46%	-31%	-28%	-22%
Average		**14x**	**18x**	**17x**	**17x**	**-36%**	**-18%**	**-16%**	**-11%**

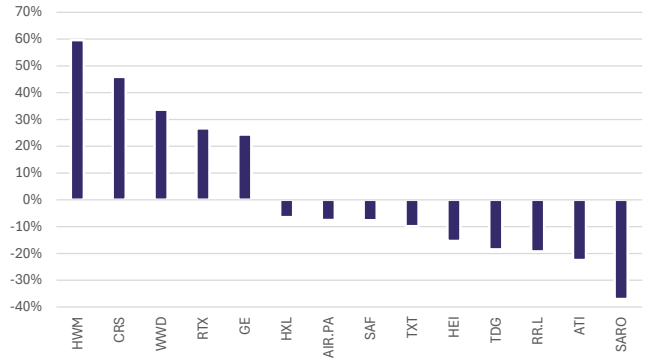
Source: Bloomberg

Exhibit 30 - Current Premium/Discount to 3-Yr Average (P/E) - Aerospace



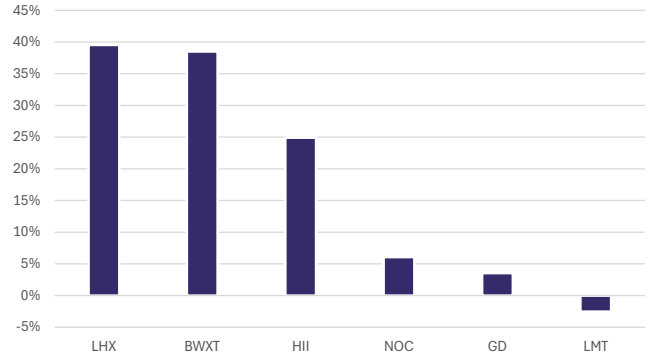
Source: Bloomberg

Exhibit 31 - Current Premium/Discount to 5-Yr Average (P/E) - Aerospace



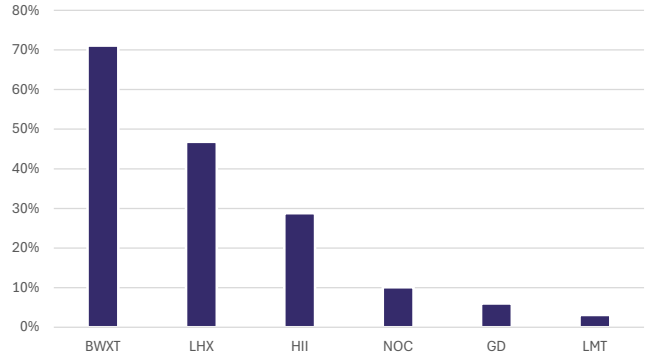
Source: Bloomberg

Exhibit 32 - Current Premium/Discount to 3-Yr Average (P/E) - Defense



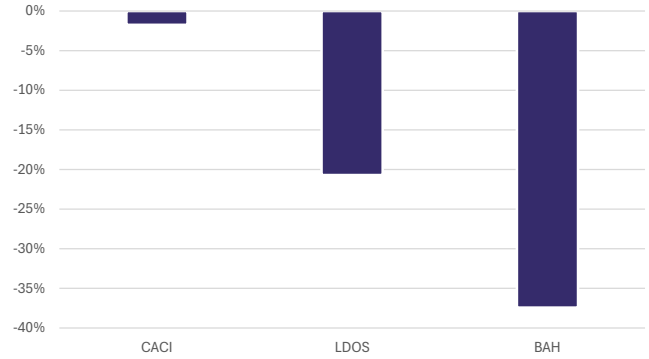
Source: Bloomberg

Exhibit 33 - Current Premium/Discount to 5-Yr Average (P/E) - Defense



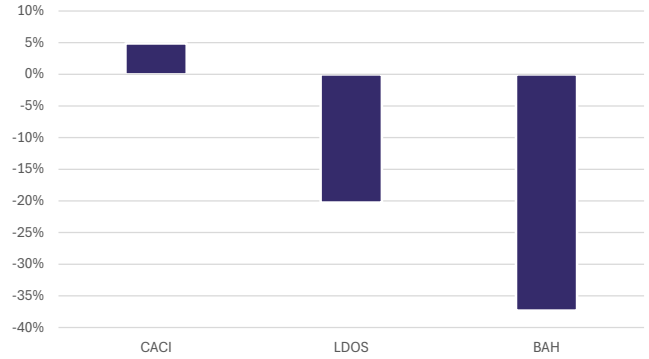
Source: Bloomberg

Exhibit 34 - Current Premium/Discount to 3-Yr Average (P/E) - Government Services



Source: Bloomberg

Exhibit 35 - Current Premium/Discount to 5-Yr Average (P/E) - Government Services



Source: Bloomberg

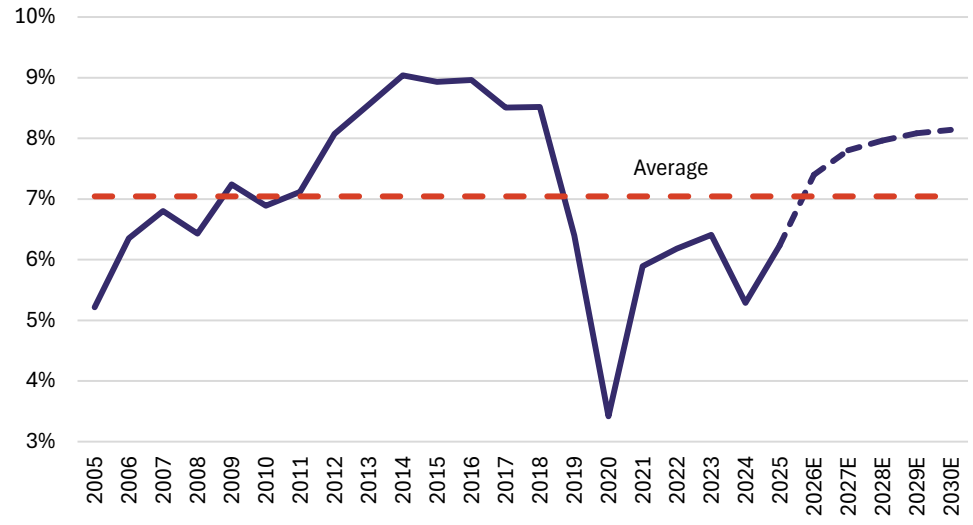
Aerospace

Exhibit 36 - Commercial Aero Delivery Forecast

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
737 NG	70	16	18	13	9	4	8	0	0	0	0	0
737 MAX	57	27	245	374	387	261	439	525	575	625	675	725
747	7	5	7	5	1	0	0	0	0	0	0	0
767	43	30	32	33	32	18	30	30	15	15	15	15
777	45	26	24	24	26	14	35	36	36	36	45	50
787	158	53	14	31	73	51	88	100	120	130	140	150
Boeing	380	157	340	480	528	348	600	691	746	806	875	940
A220	48	38	50	53	68	75	93	100	110	120	130	140
A320 Family	91	15	24	0	0	0	0	0	0	0	0	0
A320neo Family	551	431	459	516	571	602	607	660	715	750	775	800
A330	53	19	18	32	32	32	36	39	45	50	50	50
A340	0	0	0	0	0	0	0	0	0	0	0	0
A350	112	59	55	60	64	57	57	71	85	100	115	130
A380	8	4	5	0	0	0	0	0	0	0	0	0
Airbus	863	566	611	661	735	766	793	870	955	1,020	1,070	1,120
Total	**1,243**	**723**	**951**	**1,141**	**1,263**	**1,114**	**1,393**	**1,561**	**1,701**	**1,826**	**1,945**	**2,060**
YOY Growth	*-23%*	*-42%*	*32%*	*20%*	*11%*	*-12%*	*25%*	*12%*	*9%*	*7%*	*7%*	*6%*
Narrowbodies	**817**	**527**	**796**	**956**	**1,035**	**942**	**1,147**	**1,285**	**1,400**	**1,495**	**1,580**	**1,665**
YOY Growth	*-33%*	*-35%*	*51%*	*20%*	*8%*	*-9%*	*22%*	*12%*	*9%*	*7%*	*6%*	*5%*
Widebodies	**426**	**196**	**155**	**185**	**228**	**172**	**246**	**276**	**301**	**331**	**365**	**395**
YOY Growth	*12%*	*-54%*	*-21%*	*19%*	*23%*	*-25%*	*43%*	*12%*	*9%*	*10%*	*10%*	*8%*

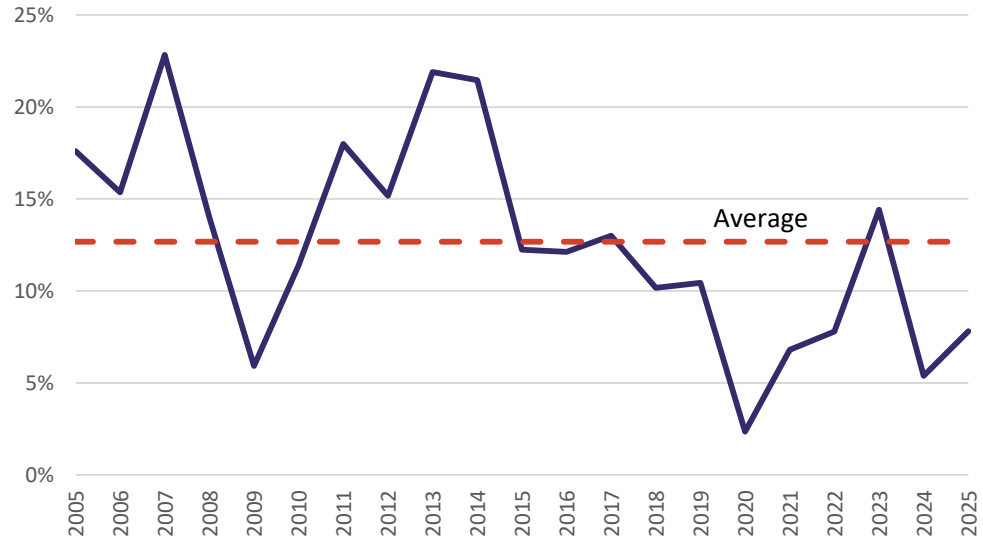
Source: Company reports and Wells Fargo Securities, LLC estimates

Exhibit 37 - Commercial Aircraft Deliveries as % of Installed Base



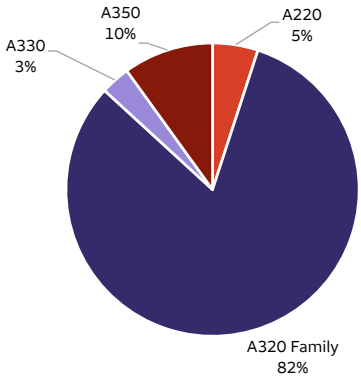
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 38 - Commercial Aircraft Orders as % of Installed Base



Source: Cirium

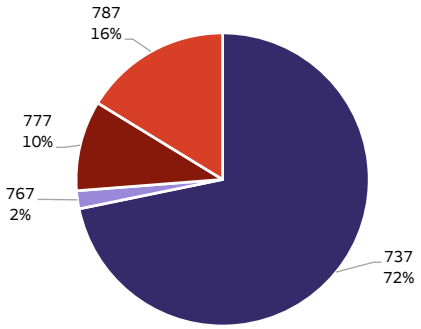
Exhibit 39 - Airbus Backlog by Aircraft



Source: Cirium

As of 4/23/26

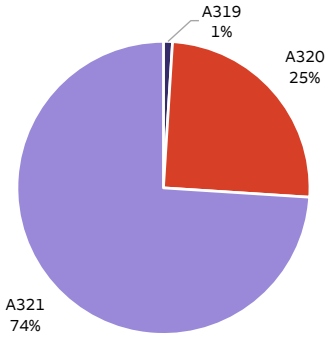
Exhibit 40 - BA Backlog by Aircraft



Source: Cirium

As of 4/23/26

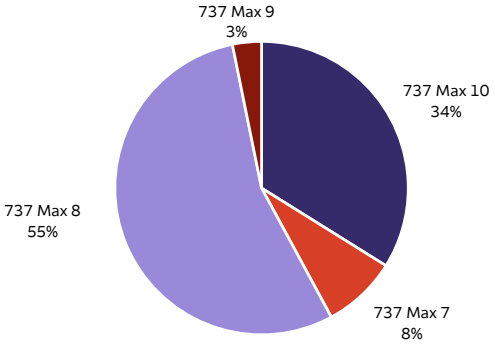
Exhibit 41 - A320 Family Backlog Breakout



Source: Cirium

As of 4/23/26

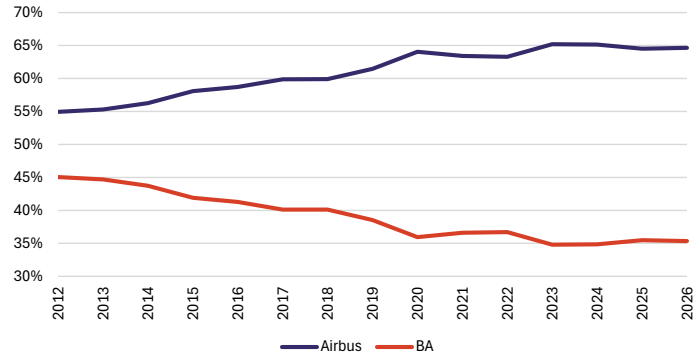
Exhibit 42 - 737 MAX Backlog Breakout



Source: Cirium

As of 4/23/26

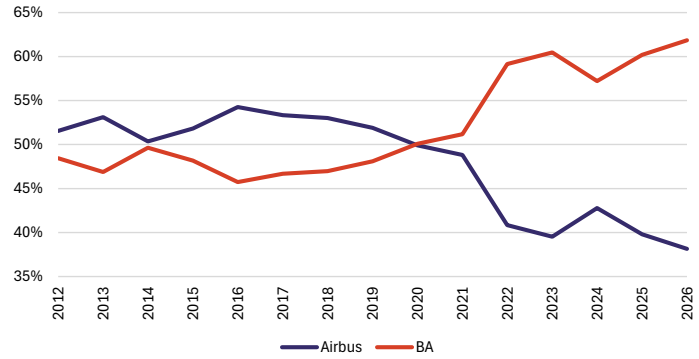
Exhibit 43 - Narrowbody Backlog Share, 2012-Present



Source: Cirium

Seats basis.

Exhibit 44 - Widebody Backlog Share, 2012-Present



Source: Cirium

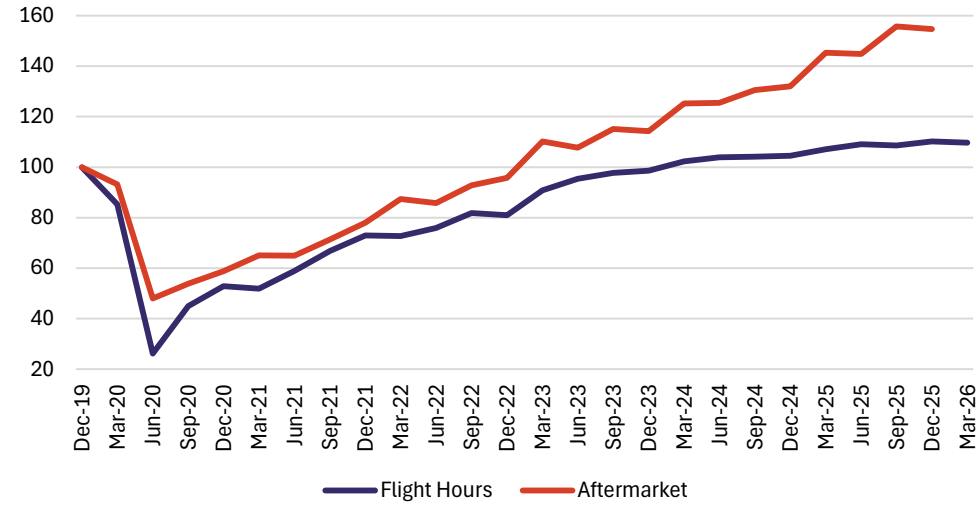
Seats basis.

Exhibit 45 - OE Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
ATI	-45%	-7%	96%	38%	8%	25%	14%	15%	5%	
GE	-30%	-12%	4%	21%	11%	10%	35%	29%	8%	23%
Honeywell	-36%	-7%	22%	15%	9%	-7%	-12%	2%	5%	3%
Howmet	-38%	-14%	29%	24%	20%	9%	8%	10%	11%	
Hexcel	-50%	1%	37%	18%	12%	-6%	-9%	-7%	8%	19%
Collins Aerospace Systems	-36%	-9%	16%	18%	3%	2%	1%	16%	9%	15%
Pratt & Whitney	-28%	11%	24%	24%	34%	3%	15%	5%	28%	-1%
Safran	-42%	-5%	25%	34%	15%	9%	7%	28%	-11%	24%
Spirit	-62%	22%	30%	20%	2%	-14%	9%	n/a	n/a	n/a
TransDigm	-21%	-6%	24%	23%	13%	0%	-7%	7%	17%	
Woodward	-48%	31%	31%	26%	6%	-9%	-8%	0%	22%	
Average	-40%	0%	31%	24%	12%	2%	5%	11%	10%	14%

Source: Company Reports

Exhibit 46 - Aftermarket vs Flight Hours, Indexed to 100 in 2019



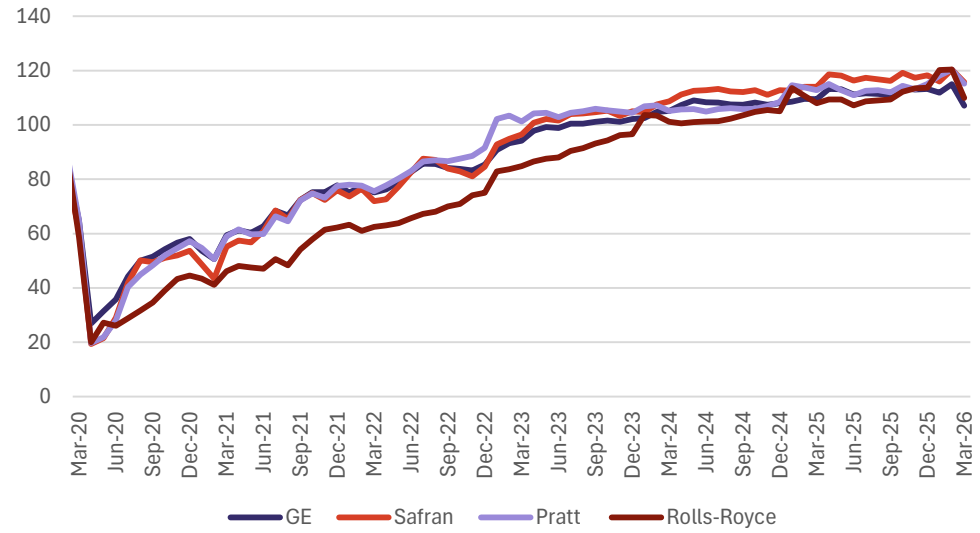
Source: Company reports

Exhibit 47 - Annual YoY Flight Hour Growth by Engine Manufacturer

	2021	2022	2023	2024	2025	2026 YTD
GE	20%	24%	21%	9%	4%	2%
Safran	24%	28%	26%	10%	5%	3%
Pratt	25%	29%	25%	2%	7%	4%
Rolls-Royce	13%	32%	34%	15%	7%	5%

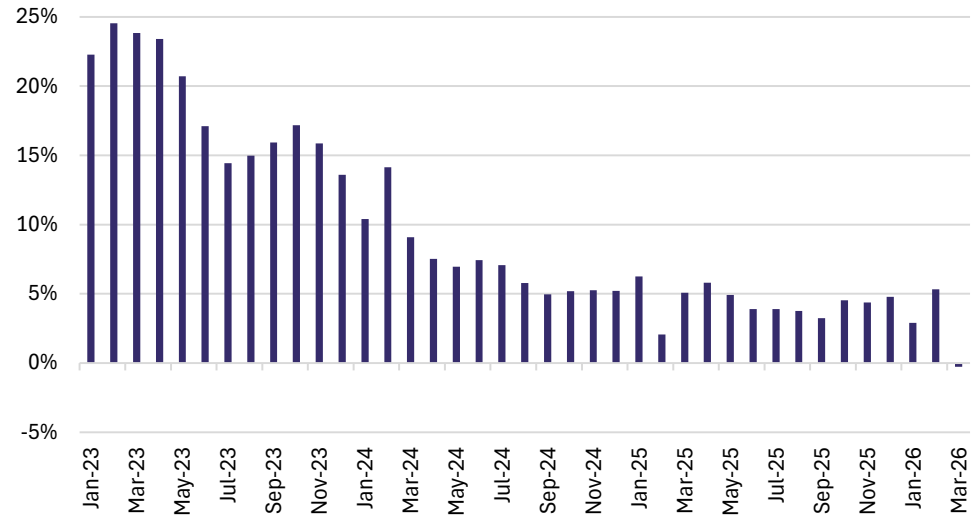
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 48 - Total Flight Hours by Engine Manufacturer (Indexed to 100 in Same Month 2019)



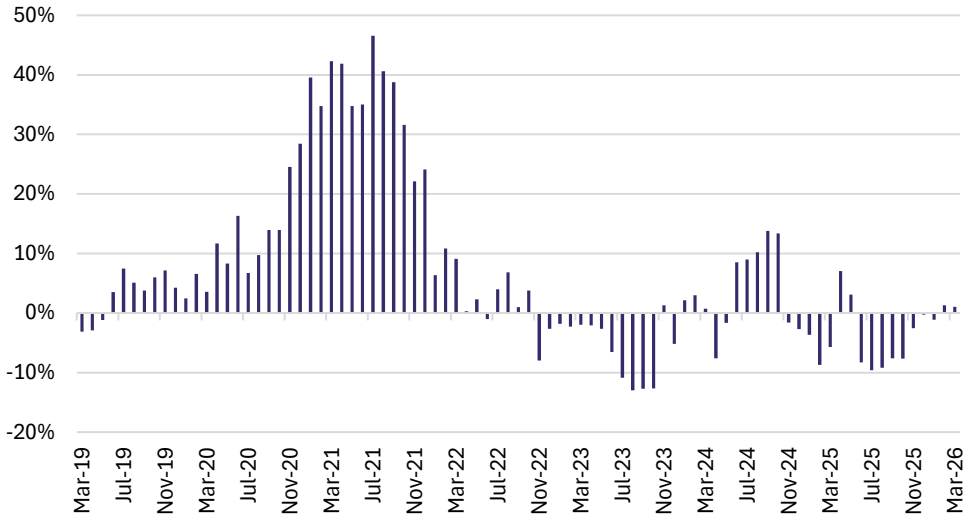
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 49 - Global Passenger Fleet Flight Hours YoY % Change



Source: Diio

Exhibit 50 - Global Freighter Fleet Flight Hours YoY % Change, 2019-Present



Source: Cirium

Exhibit 51 - Flight Schedule YoY Growth by Region

	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26
Asia	0%	5%	5%	0%	2%	5%	2%	2%	7%	3%
Europe	3%	2%	3%	1%	2%	5%	5%	4%	4%	2%
Middle East	11%	8%	-17%	-43%	-24%	0%	2%	-1%	1%	1%
North America	1%	1%	1%	2%	2%	1%	2%	4%	5%	4%
Latin America	4%	4%	8%	5%	6%	7%	10%	11%	11%	10%
Total Global	**1.7%**	**3.4%**	**2.9%**	**-0.6%**	**1.1%**	**3.7%**	**3.4%**	**3.7%**	**5.5%**	**3.4%**

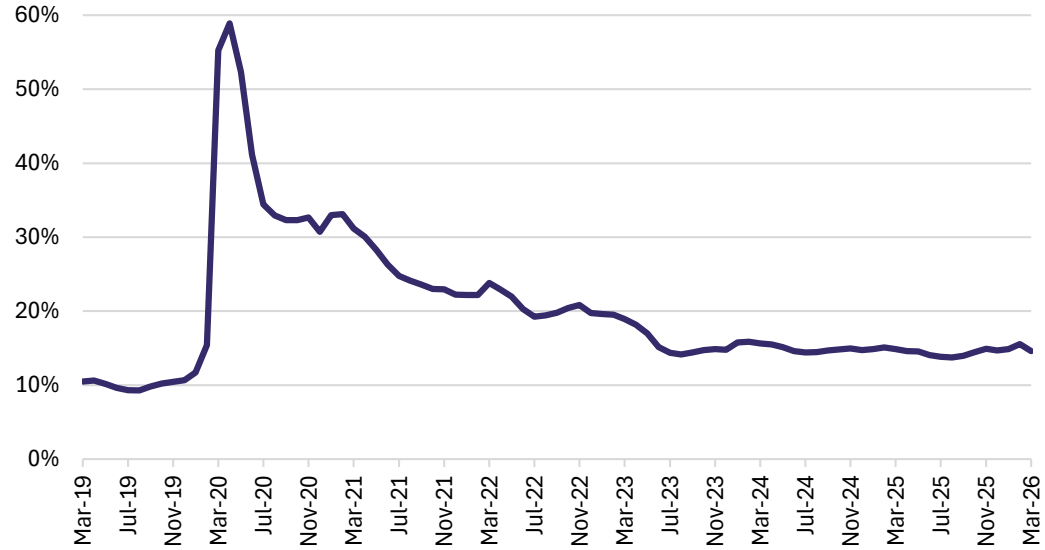
Source: Cirium

Exhibit 52 - Aftermarket Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
Boeing	-32%	9%	27%	15%	6%	-1%	3%	7%	0%	2%
GE	-46%	23%	45%	30%	12%	17%	29%	28%	31%	39%
HEICO	-34%	20%	24%	18%	13%	14%	13%	16%	12%	
Honeywell	-33%	9%	23%	22%	15%	15%	7%	19%	-3%	3%
MTU Aero Engines	-30%	14%	17%	17%	13%	15%	8%	13%	14%	
Pratt & Whitney	-33%	23%	24%	20%	14%	28%	19%	23%	21%	19%
Collins Aerospace Systems	-36%	17%	28%	27%	12%	13%	13%	13%	13%	7%
Safran	-43%	7%	29%	33%	25%	21%	22%	21%	21%	32%
Transdigm	-38%	21%	39%	30%	9%	13%	6%	11%	7%	
Rolls Royce	-43%	6%	26%	25%	27%	19%	19%	23%	23%	
Woodward	-34%	-4%	41%	21%	17%	23%	30%	39%	50%	
Average	-37%	13%	29%	23%	15%	16%	15%	19%	17%	17%

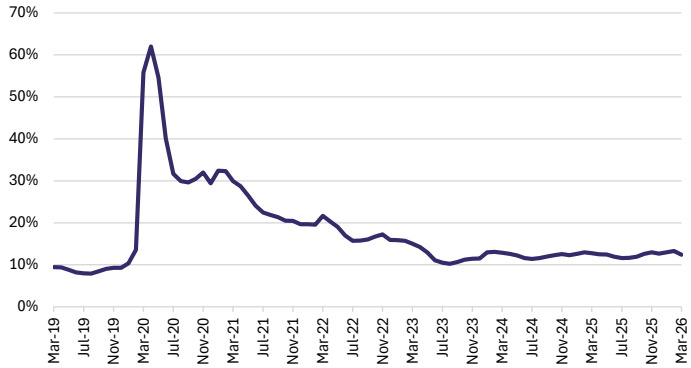
Source: Company Reports

Exhibit 53 - Parked Fleet as Percentage of Installed Base, 2019-Present



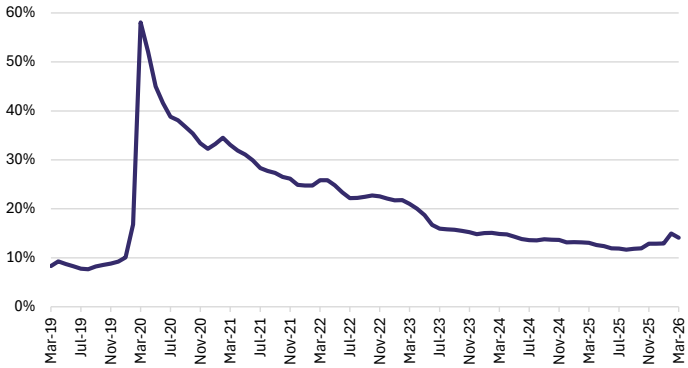
Source: Cirium

Exhibit 54 - NB Parked Fleet as Percentage of Installed Base, 2019-Present



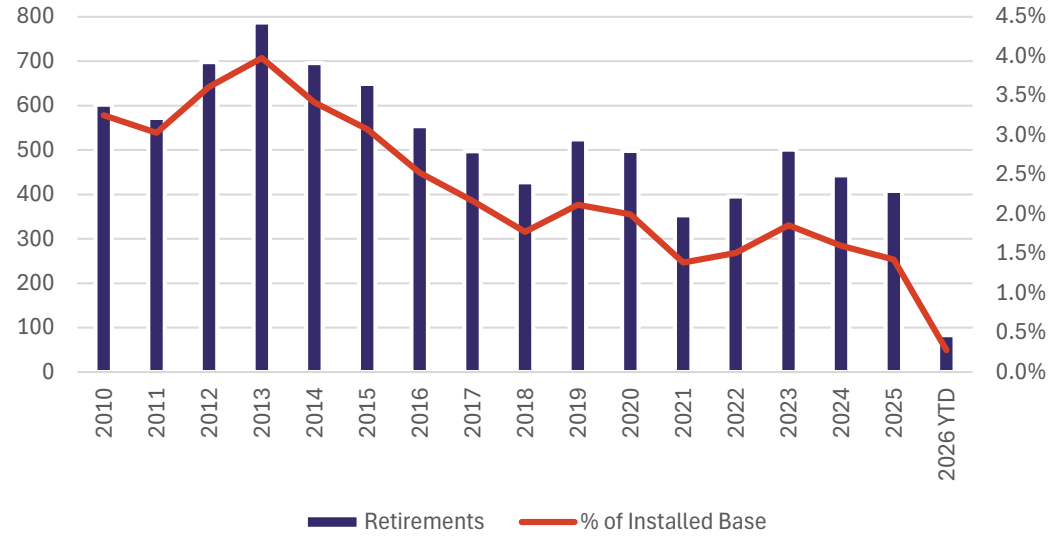
Source: Cirium

Exhibit 55 - WB Parked Fleet as Percentage of Installed Base, 2019-Present



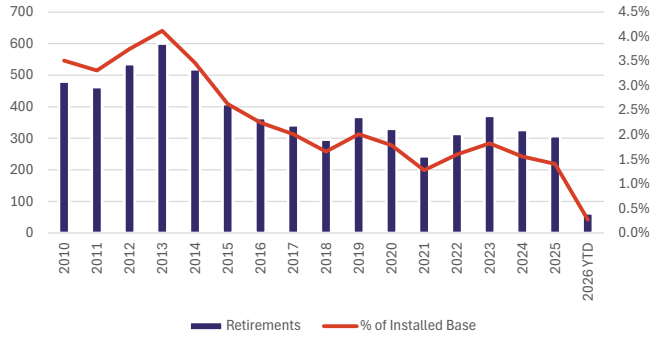
Source: Cirium

Exhibit 56 - Aircraft Retirements Over Time



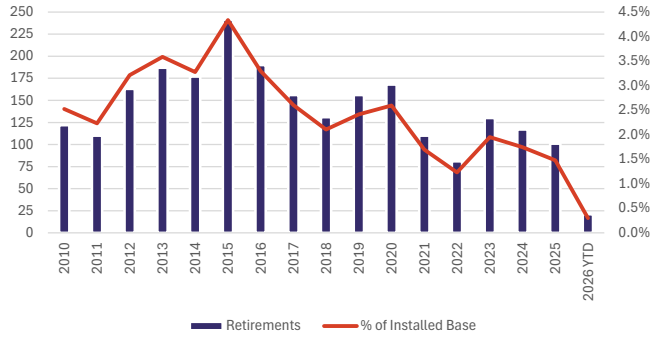
Source: Cirium

Exhibit 57 - NB Aircraft Retirements Over Time



Source: Cirium

Exhibit 58 - WB Aircraft Retirements Over Time



Source: Cirium

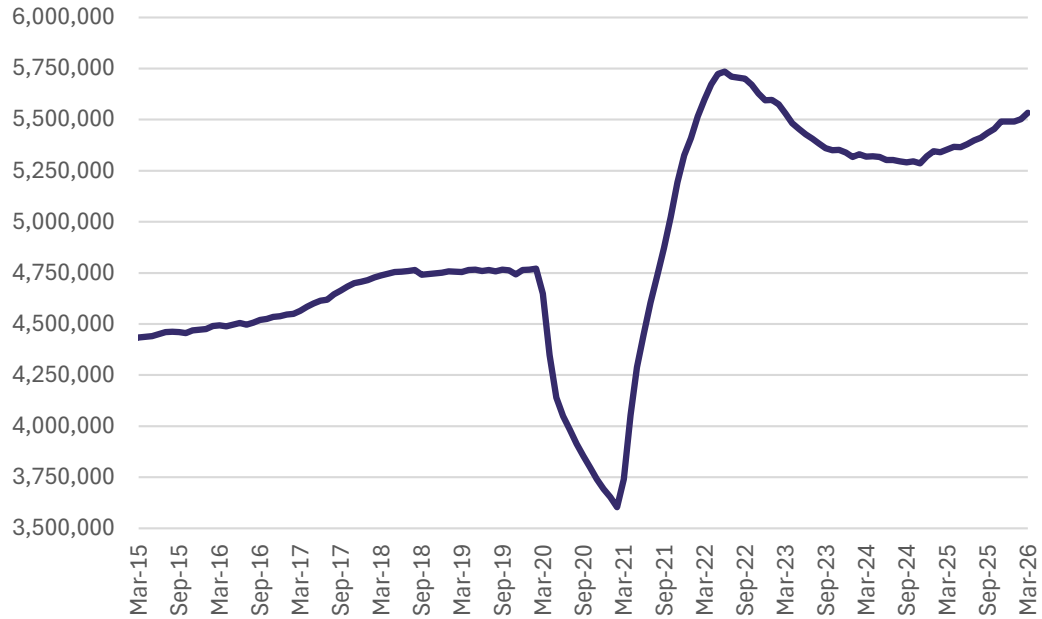
Business Jets

Exhibit 59 - Business Jet Delivery Forecast

	Cabin Class	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Bombardier																			
Learjet 70/75	Midsize	18	33	32	24	14	12	12	11	10	3	0	0	0	0	0	0	0	0
Challenger 300/350	Midsize	55	54	68	62	56	60	56	32	35	39	52	59	64	60	60	60	60	60
Challenger 605/650	Midsize	32	36	25	26	23	23	20	12	9	11	11	13	13	10	10	10	10	10
Global 5000/6000	Large	62	79	73	51	45	41	43	24	27	23	22	34	37	40	40	40	40	40
Global 7500/8000	Large	0	0	0	0	0	1	11	35	39	47	53	40	41	45	45	45	45	45
Bombardier Total		177	203	198	163	138	137	142	114	120	123	138	146	155	155	155	155	155	155
Delivery Share ex VLJ		*29%*	*30%*	*30%*	*26%*	*24%*	*23%*	*21%*	*22%*	*21%*	*21%*	*23%*	*23%*	*22%*	*21%*	*20%*	*20%*	*20%*	*20%*
Dassault																			
Falcon 2000	Midsize	22	31	31	22	12	13	18	12	14	13	10	13	11	12	12	12	12	12
Falcon 900	Large	11	9	8	4	12	7	4	5	3	2	5	2	2	2	2	2	2	2
Falcon 6X	Large	0	0	0	0	0	0	0	0	0	0	0	6	13	18	18	18	18	18
Falcon 7X	Large	43	28	12	18	7	5	5	5	3	4	3	0	0	0	0	0	0	0
Falcon 8X	Large	0	0	0	4	23	16	13	12	10	13	8	10	11	8	8	8	8	8
Dassault Total		76	68	51	48	54	41	40	34	30	32	26	31	37	40	40	40	40	40
Delivery Share ex VLJ		*13%*	*10%*	*8%*	*8%*	*9%*	*7%*	*6%*	*6%*	*5%*	*5%*	*4%*	*5%*	*5%*	*5%*	*5%*	*5%*	*5%*	*5%*
Gulfstream																			
G200/G280	Midsize	20	28	29	27	26	29	33	22	16	24	22	18	22	20	20	20	20	20
G300/G350	Large	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
GIV/G400/G450	Large	33	23	22	16	6	1	0	0	0	0	0	0	0	0	0	0	0	0
G500 (Classis)	Large	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
G500 (Classis)	Large	0	0	0	0	0	11	29	26	29	26	22	25	27	25	25	25	25	25
GV/G550	Large	48	46	37	20	19	19	17	19	8	0	0	0	0	0	0	0	0	0
G600	Large	0	0	0	0	0	0	9	27	29	30	34	32	28	30	30	30	30	30
G650/G700/800	Large	41	50	59	57	65	61	59	33	37	40	33	61	81	85	90	90	90	90
Gulfstream Total		145	152	152	129	125	121	147	127	119	120	111	136	158	160	165	165	165	165
Delivery Share ex VLJ		*24%*	*23%*	*23%*	*21%*	*21%*	*20%*	*22%*	*24%*	*21%*	*20%*	*19%*	*21%*	*22%*	*22%*	*22%*	*21%*	*21%*	*21%*
Cessna																			
M2	Small	12	41	41	38	39	34	34	24	34	33	25	22	22	22	24	32	32	32
CJ3	Small	15	12	23	25	26	37	37	21	26	29	30	24	31	32	32	32	32	32
CJ4	Small	31	27	33	29	23	29	33	23	27	29	31	26	30	32	32	32	32	32
XLS	Midsize	26	26	21	19	18	21	22	13	19	19	17	15	13	0	0	0	0	0
Latitude	Midsize	0	0	16	42	54	57	58	26	34	42	41	40	47	50	50	50	50	50
Sovereign	Midsize	13	28	18	11	9	6	8	6	3	0	0	1	0	0	0	0	0	0
Longitude	Midsize	0	0	0	0	0	0	13	18	24	26	24	24	25	24	28	28	28	32
Hemisphere	Midsize	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
X	Midsize	1	9	6	4	4	4	1	1	0	0	0	0	0	0	0	0	0	0
Citation Ascend	Midsize	0	0	0	0	0	0	0	0	0	0	0	0	3	30	37	40	44	48
Cessna Total		131	155	158	168	173	188	206	132	167	178	168	152	171	190	203	214	218	226
Delivery Share ex VLJ		*19%*	*22%*	*24%*	*27%*	*30%*	*31%*	*30%*	*25%*	*29%*	*30%*	*28%*	*24%*	*24%*	*26%*	*27%*	*28%*	*28%*	*29%*
Embraer																			
Phenom 100	VLJ	30	19	12	10	22	12	11	6	6	7	11	10	14	15	15	15	15	15
Phenom 300	Small	60	73	70	63	54	51	51	50	56	59	63	65	72	75	75	75	75	75
Legacy 450	Midsize	0	0	3	13	14	13	15	0	0	0	0	0	0	0	0	0	0	0
Praetor 500	Midsize	0	0	0	0	0	0	3	10	14	15	20	28	39	40	40	40	40	40
Legacy 500	Midsize	0	3	20	22	15	9	11	1	0	0	0	0	0	0	0	0	0	0
Praetor 600	Midsize	0	0	0	0	0	0	13	18	17	21	21	27	30	35	35	35	35	35
Legacy 600/650	Large	21	18	12	9	7	4	5	1	0	0	0	0	0	0	0	0	0	0
Lineage 1000	Large	4	2	3	2	0	2	0	0	0	0	0	0	0	0	0	0	0	0
Embraer Total		115	115	120	119	112	91	109	86	93	102	115	130	155	165	165	165	165	165
Delivery Share ex VLJ		*14%*	*14%*	*16%*	*18%*	*16%*	*13%*	*14%*	*15%*	*15%*	*16%*	*17%*	*19%*	*20%*	*20%*	*20%*	*19%*	*19%*	*19%*
Other - Pilatus PC-24	Small	0	0	0	0	0	37	50	41	47	39	48	48	48	48	48	48	48	48
Other - Hondajet HA-420	VLJ	0	0	2	23	43	37	36	31	35	17	22	22	22	22	22	22	22	22
Delivery Share ex VLJ		*0%*	*0%*	*0%*	*0%*	*0%*	*6%*	*7%*	*8%*	*8%*	*7%*	*8%*	*8%*	*7%*	*6%*	*6%*	*6%*	*6%*	*6%*
VLJ		49	27	14	33	65	49	47	37	41	24	33	32	36	37	37	37	37	37
Small		132	157	167	155	142	188	205	159	190	189	197	185	203	209	211	219	219	219
Midsize		206	254	274	281	254	247	283	182	195	213	218	238	267	281	292	295	299	307
Large		263	255	226	181	184	168	195	187	185	185	180	210	240	253	258	258	258	258
Total ex VLJ		601	666	667	617	580	603	683	528	570	587	595	633	710	743	761	772	776	784
Growth (YoY)		*3%*	*11%*	*0%*	*-7%*	*-6%*	*4%*	*13%*	*-23%*	*8%*	*3%*	*1%*	*6%*	*12%*	*5%*	*2%*	*1%*	*1%*	*1%*

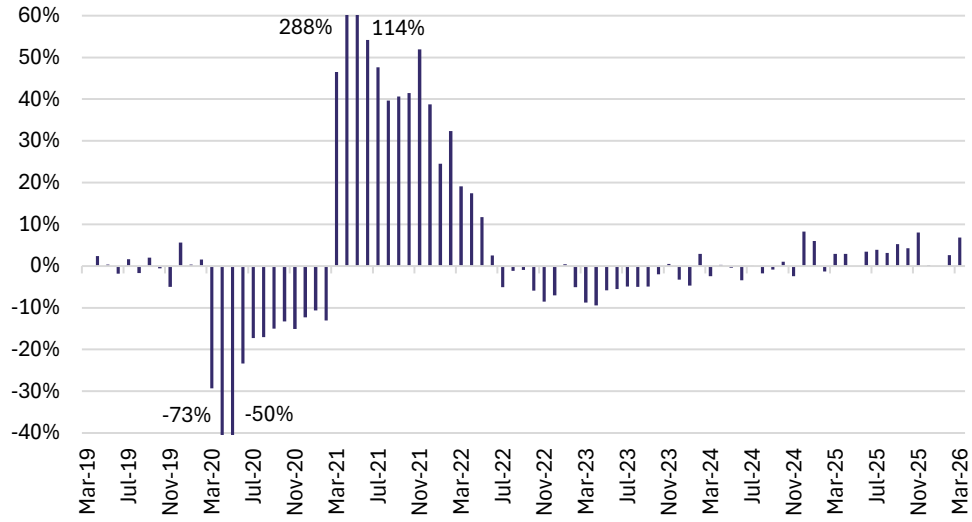
Source: Company Reports and Wells Fargo Securities, LLC estimates

Exhibit 60 - R12M Business Jet Cycles, 2015-Present



Source: FAA

Exhibit 61 - Business Jet Cycles Activity YoY % Change, 2019-Present



Source: FAA

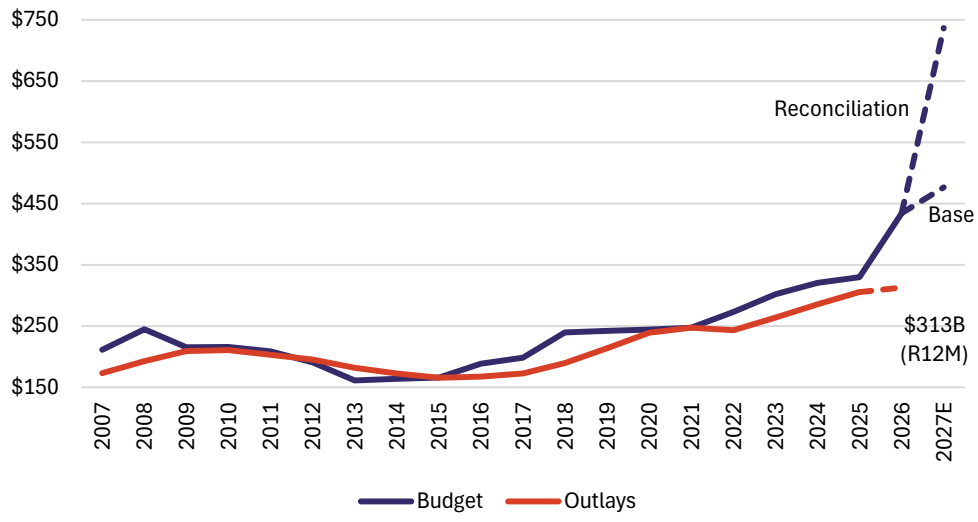
Defense

Exhibit 62 - Modernization Budget by Appropriations Account, FY25-27 Request ($B)

	FY25	FY26 Base Request	FY26 Reconciliation	FY26 Total Including Reconciliation	FY27 Base Request	FY27 Reconciliation	FY27 Request Including Reconciliation	Growth FY27 Base Request vs FY26 Base	Growth FY27 vs FY26 Total Including Reconciliation	Companies Most Exposed
Aircraft, Army	3.5	3.6	0.4	4.1	1.9	0.0	1.9	-47%	-52%	BA, LMT
Missiles, Army	7.5	7.3	0.7	8.0	12.1	24.5	36.6	66%	360%	LMT, RTX
Weapons & Combat Vehicles, Army	5.9	3.0	0.5	3.5	3.7	0.0	3.7	24%	7%	BAE, GD
Ammunition, Army	4.5	4.6	0.4	4.9	5.5	0.0	5.5	20%	11%	
Other Procurement, Army	10.1	9.4	0.6	10.1	12.7	0.0	12.7	35%	26%	LHX
Chem Agents & Munitions Destruction	0.8	0.2	0.0	0.2	0.1	0.0	0.1	-74%	-74%	
Procurement, Army	**32.3**	**28.1**	**2.6**	**30.7**	**36.0**	**24.5**	**60.5**	**28%**	**97%**	
Aircraft, Navy	15.9	17.2	0.5	17.7	26.9	7.5	34.4	56%	94%	BA, LMT
Weapons, Navy	7.1	6.1	4.1	10.2	11.8	10.9	22.6	93%	123%	LMT, RTX
Ammunition, Navy & Marine Corps	1.9	1.1	0.2	1.3	2.0	0.0	2.0	78%	46%	
Shipbuilding and Conversion, Navy	39.0	27.2	22.5	49.6	60.2	5.6	65.8	122%	33%	BWXT, GD, HII
Other Procurement, Navy	15.8	14.7	5.8	20.5	18.9	0.1	18.9	28%	-8%	
Procurement, Marine Corps	3.8	3.7	0.3	4.0	6.3	0.0	6.3	71%	58%	
Procurement, Navy	**83.5**	**70.0**	**33.4**	**103.4**	**126.0**	**24.0**	**150.0**	**80%**	**45%**	
Aircraft, Air Force	19.8	20.0	10.2	30.1	27.0	3.7	30.6	35%	2%	BA, LMT
Missiles, Air Force	5.3	4.0	2.3	6.3	6.8	4.6	11.4	72%	80%	LMT, RTX
Ammunition, Air Force	1.0	0.8	0.1	0.9	0.9	0.0	0.9	18%	5%	BA
Other Procurement, Air Force	31.0	32.6	0.4	33.1	39.2	0.0	39.2	20%	19%	
Procurement, Air Force	**57.2**	**57.3**	**13.1**	**70.4**	**73.9**	**8.2**	**82.1**	**29%**	**17%**	
Procurement, Space Force	**4.0**	**4.0**	**0.3**	**4.3**	**9.6**	**9.4**	**19.1**	**139%**	**344%**	BA, LMT, NOC
Procurement, Defense-Wide	9.6	8.9	6.2	15.1	12.0	89.3	101.4	36%	571%	BA, LMT, NOC, RTX
Total Procurement	**186.5**	**168.3**	**55.6**	**223.8**	**257.6**	**155.5**	**413.1**	**53%**	**85%**	
Army RDT&E	14.5	16.6	1.8	18.3	18.7	0.0	18.7	13%	2%	
Navy RDT&E	26.1	27.9	6.7	34.7	32.4	3.8	36.2	16%	4%	
Air Force RDT&E	47.0	50.3	6.7	57.0	73.1	1.1	74.2	45%	30%	
Space Force RDT&E	18.5	14.8	5.5	20.3	38.4	2.3	40.7	160%	100%	
Other RDT&E	37.2	35.3	44.7	80.0	56.2	117.6	173.9	59%	117%	
Total RDT&E	**143.3**	**144.9**	**65.5**	**210.4**	**218.8**	**124.9**	**343.7**	**51%**	**63%**	
Army Modernization	46.8	44.7	4.4	49.1	54.7	24.5	79.2	22%	61%	
Navy Modernization	109.6	97.9	40.1	138.0	158.4	27.9	186.3	62%	35%	
Air Force Modernization	104.2	107.6	19.8	127.4	147.0	9.3	156.3	37%	23%	
Space Force Modernization	22.4	18.8	5.8	24.6	48.0	11.7	59.7	155%	143%	
Other Modernization	46.8	44.2	50.9	95.2	68.3	207.0	275.3	54%	189%	
Total Modernization	**329.9**	**313.2**	**121.0**	**434.2**	**476.4**	**280.4**	**756.8**	**52%**	**74%**	

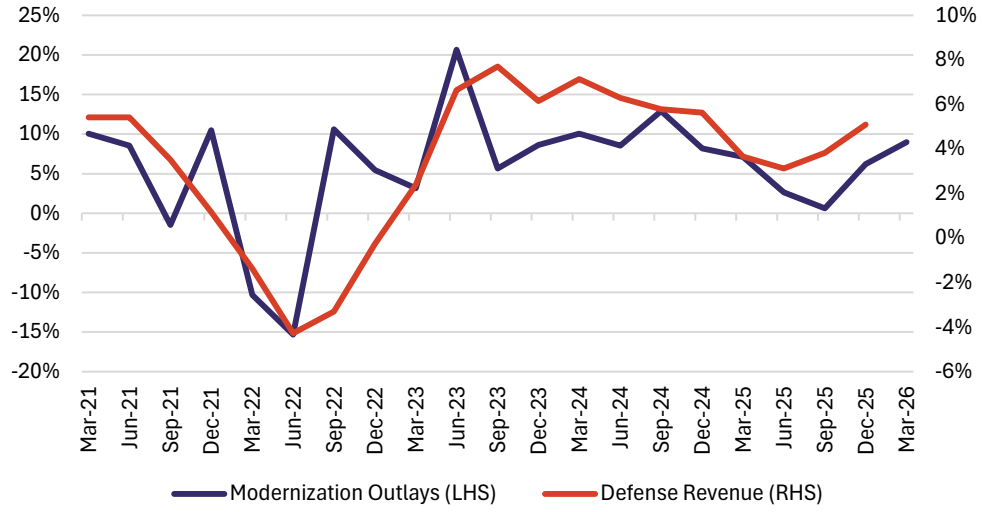
Source: OMB

Exhibit 63 - DoD Modernization Budget vs Outlays ($B)



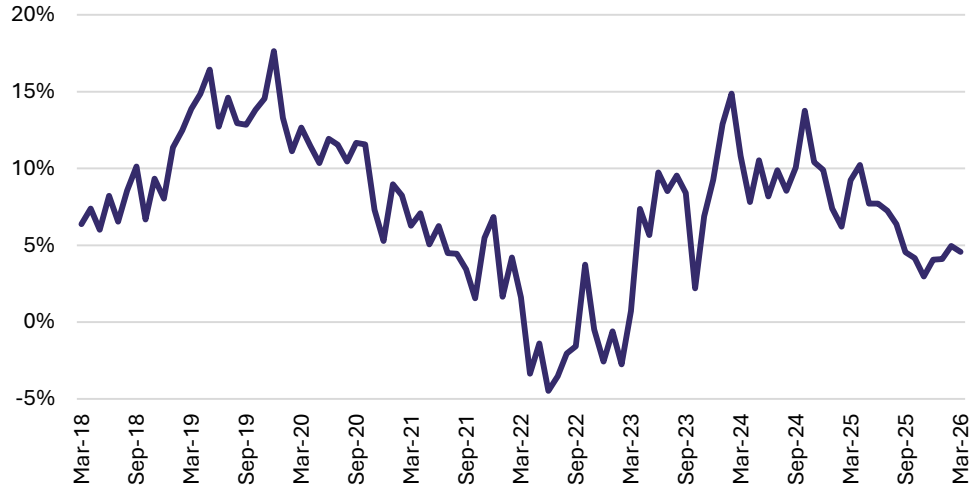
Source: DoD

Exhibit 64 - Quarterly Modernization Outlays vs Defense Organic Revenue Growth



Source: Company reports and US Treasury

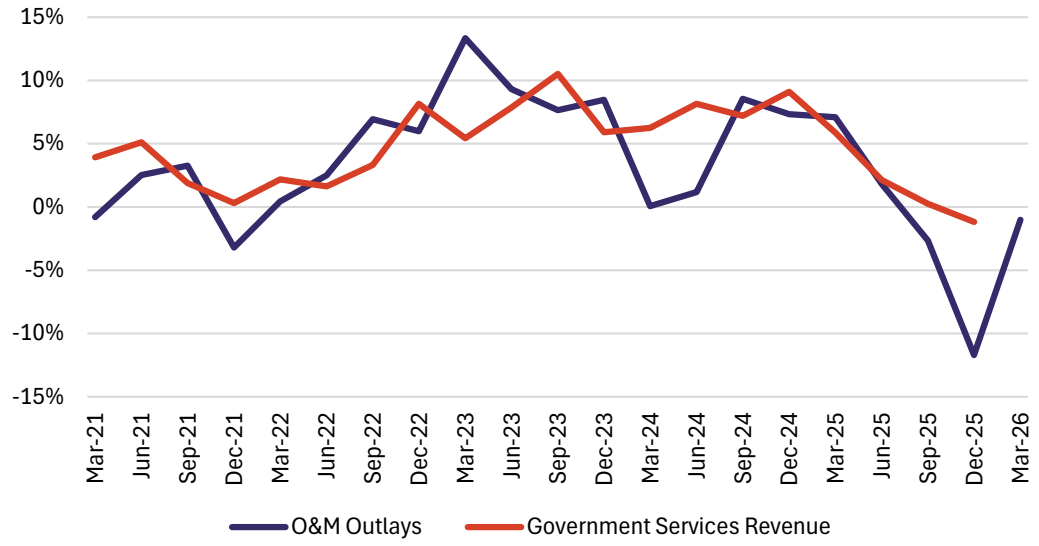
Exhibit 65 - R12M Modernization Outlays Growth



Source: US Treasury

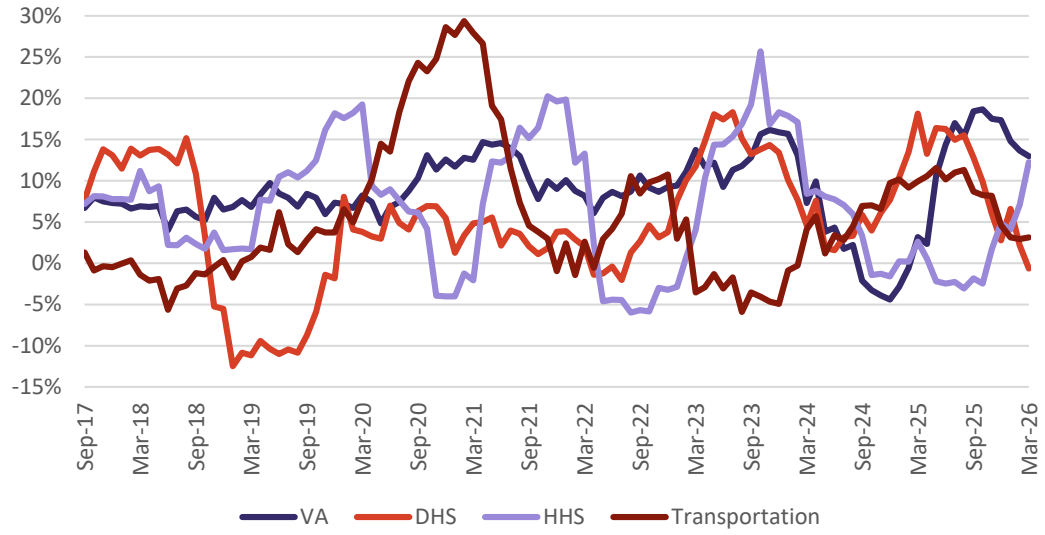
Government Services

Exhibit 66 - Quarterly O&M Outlays vs Government Services Organic Revenue Growth



Source: Company Reports and US Treasury

Exhibit 67 - R12M Civil Outlays Growth



Source: US Treasury

Financials (Model Changes)

Exhibit 68 - GE Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1Q Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	31,959	35,228	42,323	11,615	11,810	12,295	12,662	48,382	12,892	13,077	13,609	14,017	53,595	58,550
% YoY Growth		*10%*	*20%*	*29%*	*16%*	*9%*	*7%*	*14%*	*11%*	*11%*	*11%*	*11%*	*11%*	*9%*
Operating costs and expenses	26,398	27,975	33,268	9,086	9,243	9,674	9,951	37,954	9,996	10,115	10,529	10,833	41,473	44,957
Adj operating income	5,561	7,253	9,055	2,529	2,567	2,621	2,712	10,428	2,896	2,962	3,080	3,184	12,122	13,593
% Margin	17.4%	20.6%	21.4%	21.8%	21.7%	21.3%	21.4%	21.6%	22.5%	22.7%	22.6%	22.7%	22.6%	23.2%
Interest expense, net	1,029	980	816	225	218	214	214	870	204	204	204	204	818	818
Other	(40)	1	(5)	0				0					0	0
Pre-tax income	4,572	6,272	8,244	2,304	2,349	2,407	2,498	9,558	2,691	2,758	2,876	2,980	11,305	12,776
Tax rate	23.9%	20.1%	17.3%	14.8%	16.5%	16.5%	16.5%	16.1%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%
Provision for income tax	1,093	1,260	1,425	341	388	397	412	1,538	444	455	475	492	1,865	2,108
Net earnings	3,479	5,012	6,819	1,963	1,961	2,010	2,086	8,020	2,247	2,303	2,401	2,488	9,439	10,668
Other income	(238)	24	(11)	0	0	0	0	0	0	0	0	0	0	0
Net income, adjusted	3,241	5,036	6,808	1,963	1,961	2,010	2,086	8,020	2,247	2,303	2,401	2,488	9,439	10,668
Other	5,910	1,636	1,787	(33)	0	0	0	(33)	0	0	0	0	0	0
Net income, reported	9,151	6,672	8,595	1,930	1,961	2,010	2,086	7,987	2,247	2,303	2,401	2,488	9,439	10,668
Common shares outstanding	1,089.0	1,087.0	1,061.0	1,046.0	1,042.0	1,038.0	1,034.0	1,040.0	1,030.0	1,026.0	1,022.0	1,018.0	1,024.0	1,008.0
Diluted shares outstanding	1,099.0	1,097.5	1,068.5	1,054.0	1,050.0	1,046.0	1,042.0	1,048.0	1,038.0	1,034.0	1,030.0	1,026.0	1,032.0	1,016.0
GAAP EPS (basic)	$8.40	$6.14	$8.11	$1.85	$1.88	$1.94	$2.02	$7.68	$2.18	$2.24	$2.35	$2.44	$9.22	$10.58
GAAP EPS (diluted)	$8.33	$6.08	$8.05	$1.83	$1.87	$1.92	$2.00	$7.62	$2.17	$2.23	$2.33	$2.42	$9.15	$10.50
Adj EPS (basic)	$2.98	$4.63	$6.42	$1.88	$1.88	$1.94	$2.02	$7.71	$2.18	$2.24	$2.35	$2.44	$9.22	$10.58
Adj EPS (diluted)	**$2.95**	**$4.59**	**$6.37**	**$1.86**	**$1.87**	**$1.92**	**$2.00**	**$7.65**	**$2.17**	**$2.23**	**$2.33**	**$2.42**	**$9.15**	**$10.50**
Dividends per share		$1.12	$1.44	$0.47	$0.47	$0.47	$0.47	$1.88	$0.52	$0.52	$0.52	$0.52	$2.08	$2.28
Payout ratio		24%	23%	25%	25%	24%	23%	25%	24%	23%	22%	21%	23%	22%

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Exhibit 69 - RTX Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1Q Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	74,275	80,738	88,603	22,076	22,629	23,821	25,835	94,361	23,780	24,380	25,658	27,823	101,640	109,156
% YoY Growth		*9%*	*10%*	*9%*	*5%*	*6%*	*7%*	*6%*	*8%*	*8%*	*8%*	*8%*	*8%*	*7%*
Operating expenses	65,380	70,555	77,214	19,053	19,628	20,646	22,509	81,836	20,497	21,028	22,111	24,102	87,738	93,614
Operating income	8,895	10,183	11,389	3,023	3,001	3,176	3,326	12,525	3,283	3,352	3,547	3,721	13,903	15,542
% Margin	12.0%	12.6%	12.9%	13.7%	13.3%	13.3%	12.9%	13.3%	13.8%	13.7%	13.8%	13.4%	13.7%	14.2%
Interest expense, net	1,505	1,862	1,784	390	433	430	407	1,661	384	384	368	368	1,504	1,363
Non-service pension income	1,780	1,518	1,443	357	330	330	330	1,347	300	300	300	300	1,200	1,200
Other, net	(12)	9	0	0	0	0	0	0					0	0
Pre-tax income	9,158	9,848	11,048	2,990	2,898	3,075	3,248	12,211	3,199	3,268	3,479	3,653	13,599	15,379
Tax rate	18.7%	19.3%	19.7%	15.6%	19.0%	19.0%	19.0%	18.2%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Provision for income tax	1,710	1,904	2,180	467	551	584	617	2,219	576	588	626	658	2,448	2,768
Net earnings	7,448	7,944	8,868	2,523	2,347	2,491	2,631	9,992	2,623	2,680	2,853	2,996	11,151	12,610
Noncontrolling interest in subsidiaries' earnings	(185)	(239)	(337)	(98)	(105)	(105)	(105)	(413)	(103)	(110)	(110)	(110)	(434)	(455)
Net income, adjusted	7,263	7,705	8,531	2,425	2,242	2,386	2,526	9,579	2,520	2,569	2,743	2,885	10,718	12,155
Other	(4,068)	(2,931)	(1,799)	(366)	(500)	(500)	(500)	(1,866)	(500)	(500)	(500)	(500)	(2,000)	(2,000)
Net income, reported	3,195	4,774	6,732	2,059	1,742	1,886	2,026	7,713	2,020	2,069	2,243	2,385	8,718	10,155
Common shares outstanding	1,430.7	1,332.2	1,345.1	1,348.0	1,351.0	1,354.0	1,357.0	1,352.5	1,357.0	1,357.0	1,357.0	1,357.0	1,357.0	1,357.0
Diluted shares outstanding	1,438.2	1,343.6	1,356.5	1,364.6	1,367.6	1,370.6	1,373.6	1,369.1	1,373.6	1,373.6	1,373.6	1,373.6	1,373.6	1,373.6
GAAP EPS (basic)	$2.26	$3.58	$5.01	$1.53	$1.29	$1.39	$1.49	$5.70	$1.49	$1.53	$1.65	$1.76	$6.42	$7.48
GAAP EPS (diluted)	$2.24	$3.55	$4.96	$1.51	$1.27	$1.38	$1.48	$5.63	$1.47	$1.51	$1.63	$1.74	$6.35	$7.39
Adj EPS (basic)	$5.08	$5.78	$6.34	$1.80	$1.66	$1.76	$1.86	$7.08	$1.86	$1.89	$2.02	$2.13	$7.90	$8.96
Adj EPS (diluted)	**$5.05**	**$5.73**	**$6.29**	**$1.78**	**$1.64**	**$1.74**	**$1.84**	**$7.00**	**$1.83**	**$1.87**	**$2.00**	**$2.10**	**$7.80**	**$8.85**
								11.3%					**11.5%**	**13.4%**
Dividends per share	$2.32	$2.48	$2.67	$0.68	$0.70	$0.70	$0.70	$2.78	$0.70	$0.72	$0.72	$0.72	$2.86	$2.95

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Exhibit 70 - BA Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1Q Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	77,794	66,517	89,463	22,217	25,638	27,006	28,548	103,410	27,702	28,243	29,069	29,836	114,850	124,486
% YoY Growth		*-14%*	*34%*	*14%*	*13%*	*16%*	*19%*	*16%*	*25%*	*10%*	*8%*	*5%*	*11%*	*8%*
Operating costs and expenses	79,623	78,328	86,227	21,924	25,094	26,224	27,574	100,816	25,914	26,374	26,842	27,556	106,686	112,887
Operating income	(1,829)	(11,811)	3,236	293	545	782	974	2,594	1,788	1,869	2,227	2,280	8,164	11,599
% Margin	-2.4%	-17.8%	3.6%	1.3%	2.1%	2.9%	3.4%	2.5%	6.5%	6.6%	7.7%	7.6%	7.1%	9.3%
Interest expense	2,459	2,725	2,771	616	593	573	573	2,356	550	512	512	512	2,087	1,943
Non-operating pension and postretirement income	(587)	(549)	(195)	65				65					0	0
Other non-operating income, net	1,227	1,222	1,125	194	137	132	140	603	122	122	118	109	471	549
Pre-tax income	(3,648)	(13,863)	1,395	(64)	89	341	540	906	1,360	1,478	1,833	1,877	6,548	10,205
Tax rate	2.9%	5.3%	9.7%	-21.9%	15.0%	15.0%	15.0%	17.6%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
Provision for income tax	(107)	(728)	136	14	13	51	81	160	204	222	275	282	982	1,531
Net earnings	(3,541)	(13,135)	1,259	(78)	75	290	459	747	1,156	1,256	1,558	1,595	5,565	8,674
Net earnings attributable to noncontrolling interest and other	20	12	(3)	3	0	0	0	3	0	0	0	0	0	0
Mandatory convertible preferred stock dividends	0	(58)	(345)	(86)	(86)	(87)	(86)	(345)	(86)	(86)	(87)	(86)	(345)	0
Core income ex pension service cost	(3,521)	(13,181)	911	(161)	(11)	203	373	405	1,070	1,170	1,471	1,509	5,220	8,674
Other	1,299	1,306	979	71	119	119	119	427	198	198	198	198	790	790
GAAP net income	(2,222)	(11,875)	1,890	(90)	108	322	492	831	1,267	1,368	1,669	1,707	6,010	9,464
Common shares outstanding	606.2	641.5	766.3	788.0	805.0	805.0	805.0	800.8	805.0	805.0	805.0	805.0	805.0	805.0
Diluted shares outstanding	606.2	641.5	766.3	788.0	805.0	805.0	805.0	800.8	805.0	805.0	805.0	805.0	805.0	840.0
Core EPS (basic)	($5.81)	($20.38)	$0.73	($0.20)	($0.01)	$0.25	$0.46	$0.50	$1.33	$1.45	$1.83	$1.88	$6.49	$10.78
Core EPS (diluted)	**($5.81)**	**($20.38)**	**$0.73**	**($0.20)**	**($0.01)**	**$0.25**	**$0.46**	**$0.50**	**$1.33**	**$1.45**	**$1.83**	**$1.88**	**$6.49**	**$10.33**
GAAP EPS (basic)	($3.67)	($18.33)	$2.01	($0.11)	$0.13	$0.40	$0.61	$1.03	$1.57	$1.70	$2.07	$2.12	$7.47	$11.76
GAAP EPS (diluted)	($3.67)	($18.33)	$2.01	($0.11)	$0.13	$0.40	$0.61	$1.03	$1.57	$1.70	$2.07	$2.12	$7.47	$11.27

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Exhibit 71 - LMT Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1Q Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	67,571	71,043	75,048	18,021	19,416	19,884	22,166	79,487	18,959	20,440	20,943	23,334	83,675	88,005
% YoY Growth		*5%*	*6%*	*0%*	*7%*	*7%*	*9%*	*6%*	*5%*	*5%*	*5%*	*5%*	*5%*	*5%*
Operating costs and expenses	59,064	64,030	67,317	15,943	17,038	17,433	19,458	69,872	16,607	17,918	18,342	20,458	73,325	77,034
Operating income	8,507	7,013	7,731	2,063	2,378	2,451	2,708	9,600	2,352	2,521	2,601	2,875	10,350	10,972
% Margin	12.6%	9.9%	10.3%	11.4%	12.2%	12.3%	12.2%	12.1%	12.4%	12.3%	12.4%	12.3%	12.4%	12.5%
Interest expense, net	916	1,036	1,118	269	259	259	259	1,045	259	259	259	259	1,035	1,035
Non-service FAS pension (expense) income	443	62	(874)	(80)	(80)	(80)	(80)	(320)	(80)	(80)	(80)	(80)	(320)	(320)
Other non-operating income, net	64	181	183	60				60					0	0
Pre-tax income	8,098	6,220	5,922	1,774	2,039	2,112	2,370	8,295	2,013	2,183	2,262	2,537	8,995	9,617
Tax rate	14.5%	14.2%	15.3%	16.1%	16.5%	16.5%	16.5%	16.4%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%
Provision for income tax	1,178	884	905	286	336	349	391	1,362	332	360	373	419	1,484	1,587
Net earnings	6,920	5,336	5,017	1,488	1,703	1,764	1,979	6,933	1,681	1,822	1,889	2,118	7,511	8,030
Other income	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net income, reported	6,920	5,336	5,017	1,488	1,703	1,764	1,979	6,933	1,681	1,822	1,889	2,118	7,511	8,030
Other	(7)	1,359	268	0	0	0	0	0	0	0	0	0	0	0
Net income, adjusted	6,913	6,695	5,285	1,488	1,703	1,764	1,979	6,933	1,681	1,822	1,889	2,118	7,511	8,030
Common shares outstanding	250.5	238.3	232.7	229.9	229.9	229.9	229.9	229.9	229.9	229.9	229.9	229.9	229.9	229.9
Diluted shares outstanding	251.4	239.2	233.7	231.1	231.1	231.1	231.1	231.1	231.1	231.1	231.1	231.1	231.1	231.1
GAAP EPS (basic)	$27.65	$22.35	$21.57	$6.47	$7.41	$7.67	$8.61	$30.16	$7.31	$7.93	$8.22	$9.21	$32.67	$34.93
GAAP EPS (diluted)	**$27.55**	**$22.27**	**$21.48**	**$6.44**	**$7.37**	**$7.63**	**$8.56**	**$30.00**	**$7.27**	**$7.89**	**$8.17**	**$9.17**	**$32.50**	**$34.75**
Adj EPS (basic)	$27.62	$28.11	$22.73	$6.47	$7.41	$7.67	$8.61	$30.16	$7.31	$7.93	$8.22	$9.21	$32.67	$34.93
Adj EPS (diluted)	$27.52	$28.00	$22.64	$6.44	$7.37	$7.63	$8.56	$30.00	$7.27	$7.89	$8.17	$9.17	$32.50	$34.75
Dividends per share	$12.15	$12.75	$13.35	$3.45	$3.45	$3.45	$3.62	$13.97	$3.62	$3.62	$3.62	$3.80	$14.67	$15.40

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Exhibit 72 - HXL Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1Q Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	1,789	1,903	1,894	502	530	478	560	2,070	548	634	526	578	2,286	2,450
% YoY Growth			*0%*	*10%*	*8%*	*5%*	*14%*	*9%*	*9%*	*20%*	*10%*	*3%*	*10%*	*7%*
Cost of revenue	1,356	1,433	1,459											
Selling, general and administrative expense	164	177	169											
Research and technology expenses	53	57	56											
Operating income	216.700	236	209	68	70	53	75	266	74	98	67	85	324	370
% Margin	12.1%	12.4%	11.1%	13.5%	13.2%	11.1%	13.4%	12.8%	13.5%	15.5%	12.7%	14.8%	14.2%	15.1%
Interest expense, net	34	31	38	12	12	12	10	46	10	10	9	8	37	31
Other	72	0	(1)	0				0					0	0
Pre-tax income	111	205	172	56	57	42	65	219	64	88	58	78	288	339
Tax rate	19.3%	13.1%	13.6%	18.3%	20.0%	20.0%	20.0%	19.6%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
Provision for income tax	21	27	24	10	11	8	13	43	13	18	12	16	58	68
Net earnings	90	178	149	46	46	33	52	176	51	70	47	62	230	271
Equity in earnings from affiliated companies	8	0	0					0					0	0
Other income	(57)	10	8	0	0	0	0	0	0	0	0	0	0	0
Net income, adjusted	155	169	141	46	46	33	52	176	51	70	47	62	230	271
Other	49	36	31	8	0	0	0	8	0	0	0	0	0	0
Net income, recurring	106	132	109	37	46	33	52	168	51	70	47	62	230	271
Common shares outstanding	84.6	82.3	79.5	75.9	75.9	75.9	75.9	75.9	75.9	75.9	75.9	75.9	75.9	74.7
Diluted shares outstanding	85.3	83.0	80.1	76.7	76.7	76.7	76.7	76.7	76.7	76.7	76.7	76.7	76.7	75.5
GAAP EPS (basic)	$1.25	$1.60	$1.39	$0.49	$0.60	$0.44	$0.68	$2.22	$0.67	$0.93	$0.61	$0.82	$3.03	$3.64
GAAP EPS (diluted)	$1.23	$1.59	$1.38	$0.49	$0.60	$0.44	$0.68	$2.19	$0.67	$0.92	$0.61	$0.81	$3.00	$3.60
Adj EPS (basic)	$1.83	$2.05	$1.77	$0.60	$0.60	$0.44	$0.68	$2.33	$0.67	$0.93	$0.61	$0.82	$3.03	$3.64
Adj EPS (diluted)	**$1.82**	**$2.03**	**$1.76**	**$0.59**	**$0.60**	**$0.44**	**$0.68**	**$2.30**	**$0.67**	**$0.92**	**$0.61**	**$0.81**	**$3.00**	**$3.60**
Dividends per share	$0.53	$0.62	$0.69	$0.18	$0.18	$0.19	$0.19	$0.74	$0.19	$0.20	$0.20	$0.20	$0.79	$0.83

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Exhibit 73 - CACI Income Statement

	2024 Fiscal Year	2025 Fiscal Year	1Q Sep-25	2Q Dec-25	3Q Mar-26	4QE Jun-26	2026E Fiscal Year	1QE Sep-26	2QE Dec-26	3QE Mar-27	4QE Jun-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	7,660	8,628	2,288	2,220	2,351	2,697	9,556	2,587	2,516	2,619	2,859	10,581	11,110
% YoY Growth			*0*	*0*	*0*	*0*	*0*	*0*	*0*	*0*	*0*	*0*	*0*
Direct costs	5,148	5,836	1,547	1,495	1,553								
Indirect costs and selling expenses	1,720	1,833	474	465	510								
Depreciation and amortization	142	195	54	54	59								
Operating income	650	764	212	206	229	230	878	220	214	223	243	899	966
% Margin	8.5%	8.9%	9.3%	9.3%	9.7%	8.5%	9.2%	8.5%	8.5%	8.5%	8.5%	8.5%	8.7%
Interest expense, net	105	159	46	45	52	75	219	73	70	66	62	270	251
Other	0	0	0	0	0		0					0	0
Pre-tax income	545	605	166	162	177	155	659	147	144	157	181	629	715
Tax rate	22.9%	17.4%	24.9%	23.3%	26.2%	23.0%	24.4%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%
Provision for income tax	125	106	41	38	46	36	161	32	32	34	40	138	157
Net earnings	420	500	125	124	130	120	499	115	112	122	141	491	558
Net income, as reported	420	500	125	124	130	120	499	115	112	122	141	491	558
Intangible amortization expense	74	125	36	36	41	65	178	65	65	65	65	260	260
Tax effect of intangible amortization		(31)	(9)	(9)	(10)	(15)	(44)	(14)	(14)	(14)	(14)	(57)	(57)
Adjusted net income	475	593	152	151	161	170	633	166	163	173	192	693	760
Basic shares outstanding	22.4	22.2	22.0	22.1	22.1	22.3	22.1	22.3	22.3	22.3	22.3	22.3	22.3
Diluted shares outstanding	22.6	22.4	22.2	22.1	22.2	22.4	22.2	22.4	22.4	22.4	22.4	22.4	22.4
Adj EPS (basic)	$21.24	$26.68	$6.90	$6.83	$7.29	$7.61	$28.63	$7.43	$7.32	$7.76	$8.60	$31.11	$34.11
Adj EPS (diluted)	**$21.06**	**$26.51**	**$6.85**	**$6.81**	**$7.27**	**$7.58**	**$28.50**	**$7.40**	**$7.30**	**$7.73**	**$8.57**	**$31.00**	**$34.00**
GAAP EPS (basic)	$18.78	$22.49	$5.67	$5.61	$5.90	$5.36	$22.55	$5.15	$5.05	$5.48	$6.33	$22.01	$25.02
GAAP EPS (diluted)	$18.62	$22.35	$5.63	$5.59	$5.88	$5.34	$22.45	$5.13	$5.03	$5.46	$6.31	$21.93	$24.93
Dividends per share	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
EBITDA													
Net income	420	500	125	124	130	120	499	115	112	122	141	491	558
Income taxes	125	106	41	38	46	36	161	32	32	34	40	138	157
Interest income and expense, net	105	159	46	45	52	75	219	73	70	66	62	270	251
Depreciation and amortization expense	148	203	56	56	61	100	273	100	100	100	100	400	420
EBITDA	798	967	269	263	290	330	1,151	320	314	323	343	1,299	1,386
% Margin	10.4%	11.2%	11.7%	11.8%	12.3%	12.2%	12.0%	12.4%	12.5%	12.3%	12.0%	12.3%	12.5%
R12M			1,020	1,049	1,085	1,151		1,202	1,254	1,287	1,299		
% Margin			11.5%	11.7%	11.8%	12.0%		12.2%	12.4%	12.3%	12.3%		

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Exhibit 74 - NOC Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1Q Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	39,290	41,033	41,954	9,881	10,885	10,993	12,626	44,385	10,526	11,593	11,709	13,453	47,281	50,371
% YoY Growth		*4%*	*2%*	*4%*	*5%*	*5%*	*8%*	*6%*	*7%*	*7%*	*7%*	*7%*	*7%*	*7%*
Operating costs and expenses	36,753	36,663	37,443	8,892	9,739	9,808	11,250	39,689	9,468	10,390	10,465	12,002	42,326	45,045
Operating income	2,537	4,370	4,511	989	1,146	1,185	1,375	4,696	1,058	1,203	1,245	1,451	4,956	5,327
% Margin	6.5%	10.6%	10.8%	10.0%	10.5%	10.8%	10.9%	10.6%	10.0%	10.4%	10.6%	10.8%	10.5%	10.6%
Interest expense, net	545	621	665	162	155	155	155	628	142	142	143	143	570	487
FAS (non-service) pension benefit	530	656	541	166	165	165	165	661	170	170	170	170	680	680
Other	(176)	611	681	37				37					0	0
Pre-tax income	2,346	5,016	5,068	1,030	1,155	1,195	1,385	4,765	1,086	1,231	1,271	1,477	5,065	5,520
Tax rate	12.4%	16.8%	17.5%	15.0%	17.0%	17.0%	17.0%	16.6%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Provision for income tax	290	842	886	155	196	203	235	790	185	209	216	251	861	938
Net earnings	2,056	4,174	4,182	875	959	992	1,150	3,975	901	1,022	1,055	1,226	4,204	4,581
Other income	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net income, reported	2,056	4,174	4,182	875	959	992	1,150	3,975	901	1,022	1,055	1,226	4,204	4,581
MTM (benefit)/expense, net of tax	316	(332)	(394)	0	0	0	0	0	0	0	0	0	0	0
Net income, adjusted	2,372	3,842	3,788	875	959	992	1,150	3,975	901	1,022	1,055	1,226	4,204	4,581
Common shares outstanding	152.1	147.2	143.7	142.1	142.1	142.1	142.1	142.1	142.1	142.1	142.1	142.1	142.1	142.1
Diluted shares outstanding	152.1	147.4	143.8	142.5	142.5	142.5	142.5	142.5	142.5	142.5	142.5	142.5	142.5	142.5
GAAP EPS (basic)	$13.47	$28.38	$29.15	$6.16	$6.75	$6.98	$8.09	$27.97	$6.34	$7.19	$7.42	$8.63	$29.59	$32.24
GAAP EPS (diluted)	$13.47	$28.35	$29.12	$6.14	$6.73	$6.96	$8.07	$27.90	$6.33	$7.17	$7.40	$8.60	$29.50	$32.15
Adj EPS (basic)	$15.56	$26.10	$26.39	$6.16	$6.75	$6.98	$8.09	$27.97	$6.34	$7.19	$7.42	$8.63	$29.59	$32.24
Adj EPS (diluted)	**$15.56**	**$26.08**	**$26.37**	**$6.14**	**$6.73**	**$6.96**	**$8.07**	**$27.90**	**$6.33**	**$7.17**	**$7.40**	**$8.60**	**$29.50**	**$32.15**
Dividends per share	$7.34	$8.05	$8.99	$2.31	$2.49	$2.49	$2.49	$9.79	$2.49	$2.69	$2.69	$2.69	$10.58	$11.42

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Exhibit 75 - SAF Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1HE Jun-26	2HE Dec-26	2026E Fiscal Year	1HE Jun-27	2HE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	23,199	27,317	31,329	17,478	18,726	36,204	19,111	20,508	39,619	42,859
% YoY Growth		*18%*	*15%*	*18%*	*13%*	*16%*	*9%*	*10%*	*9%*	*8%*
Other recurring and nonrecurring operating incor	20,605	23,351	26,833	14,423	15,384	29,808	15,594	16,643	32,237	34,604
Share in profit from joint ventures	(122)	(159)	(222)							
Profit from operations	2,655	4,125	4,718	3,054	3,342	6,396	3,517	3,864	7,382	8,255
% Margin	11.4%	15.1%	15.1%	17.5%	17.8%	17.7%	18.4%	18.8%	18.6%	19.3%
Cost of net debt	112	157	116	9	9	17	22	22	44	72
Foreign exchange gain/loss	66	(106)	10							
Other financial income and expense	(4)	(28)	13							
Pre-tax income	2,829	4,148	4,857	3,063	3,350	6,413	3,539	3,886	7,426	8,327
Tax rate	25.6%	23.8%	32.3%	32.0%	32.0%	32.0%	25.0%	25.0%	25.0%	25.0%
Provision for income tax	724	987	1,571	980	1,072	2,052	885	972	1,856	2,082
Recurring net earnings	2,105	3,161	3,286	2,083	2,278	4,361	2,654	2,915	5,569	6,245
Net earnings attributable to non-controlling intere	(77)	(93)	(112)	(50)	(50)	(100)	(50)	(50)	(100)	(100)
Net earnings attributable to owners of the parent	2,028	3,068	3,174	2,033	2,228	4,261	2,604	2,865	5,469	6,145
Adjustments	1,416	(3,735)	4,003			0			0	0
Consolidated net earnings attributable to owners	3,444	(667)	7,177	2,033	2,228	4,261	2,604	2,865	5,469	6,145
Common shares outstanding	417.8	416.1	418.3	416.6	415.1	415.9	413.6	412.1	412.9	409.9
Diluted shares outstanding	431.4	420.7	417.9	416.4	414.9	415.7	413.4	411.9	412.7	409.7
Adj EPS (basic)	€ 4.85	€ 7.37	€ 7.59	€ 4.88	€ 5.37	€ 10.25	€ 6.30	€ 6.95	€ 13.25	€ 14.99
Adj EPS (diluted)	**€ 4.70**	**€ 7.29**	**€ 7.60**	**€ 4.88**	**€ 5.37**	**€ 10.25**	**€ 6.30**	**€ 6.95**	**€ 13.25**	**€ 15.00**
Reported EPS (basic)	€ 8.24	(€ 1.60)	€ 17.16	€ 4.88	€ 5.37	€ 10.25	€ 6.30	€ 6.95	€ 13.25	€ 14.99
Reported EPS (diluted)	€ 7.98	(€ 1.59)	€ 17.17	€ 4.88	€ 5.37	€ 10.25	€ 6.30	€ 6.95	€ 13.25	€ 15.00
Dividends per share	€ 1.35	€ 2.20	€ 2.90	$3.35	$0.00	€ 3.35	$3.70	$0.00	€ 3.70	€ 4.00

Source: Company reports and Wells Fargo Securities, LLC estimates

€M except per share amounts.

Exhibit 76 - VOYG Income Statement

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1QE Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	136	144	166	36	56	66	80	238	45	71	84	101	301	381
% YoY Growth		*6%*	*15%*	*4%*	*23%*	*67%*	*71%*	*43%*	*25%*	*26%*	*27%*	*27%*	*26%*	*27%*
Cost of sales	108	109	137											
Selling, general, and administrative	54	63	117											
Research and development	(19)	8	13											
Amortization of acquired intangibles	6	10	9											
Other	0	4	0											
Operating income	(14.173)	(48)	(108)	(42)	(41)	(41)	(41)	(165)	(16)	(18)	(20)	(21)	(75)	(55)
% Margin	-10.4%	-33.6%	-65.2%	-115.8%	-73.7%	-62.7%	-51.7%	-69.6%	-36.6%	-26.1%	-23.4%	-20.7%	-25.1%	-14.5%
Interest expense, net	11	12	7	1	1	1	1	4	1	1	1	1	4	4
Other	0	7	(3)					0					0	0
Pre-tax income	(25)	(67)	(113)	(43)	(42)	(42)	(42)	(169)	(17)	(19)	(21)	(22)	(79)	(59)
Tax rate	-1.4%	2.5%	0.4%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Provision for income tax	0	(2)	(0)	0	0	0	0	0	0	0	0	0	0	0
Net earnings	(25.198)	(66)	(112)	(43)	(42)	(42)	(42)	(169)	(17)	(19)	(21)	(22)	(79)	(59)
Net income attributable to noncontrolling interests and dividends accrued on preferred stock	18	18	4	0	0	0	0	0	0	0	0	0	0	0
Net income, reported available to common shareholders	(43.278)	(84)	(116)	(43)	(42)	(42)	(42)	(169)	(17)	(19)	(21)	(22)	(79)	(59)
Other	3	12	34	0	0	0	0	0	0	0	0	0	0	0
Net income, adjusted	(41)	(72)	(82)	(43)	(42)	(42)	(42)	(169)	(17)	(19)	(21)	(22)	(79)	(59)
Common shares outstanding			40.2	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4
Diluted shares outstanding			40.2	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4	58.4
GAAP EPS (basic)			($2.89)	($0.73)	($0.73)	($0.72)	($0.72)	($2.90)	($0.30)	($0.33)	($0.35)	($0.38)	($1.36)	($1.02)
GAAP EPS (diluted)			($2.89)	($0.73)	($0.73)	($0.72)	($0.72)	($2.90)	($0.30)	($0.33)	($0.35)	($0.38)	($1.36)	($1.02)
Adj EPS (basic)			($2.05)	($0.73)	($0.73)	($0.72)	($0.72)	($2.90)	($0.30)	($0.33)	($0.35)	($0.38)	($1.36)	($1.02)
Adj EPS (diluted)			($2.05)	**($0.73)**	**($0.73)**	**($0.72)**	**($0.72)**	**($2.90)**	**($0.30)**	**($0.33)**	**($0.35)**	**($0.38)**	**($1.36)**	**($1.02)**

Source: Company reports and Wells Fargo Securities, LLC estimates

$M except per share amounts.

Companies Mentioned in Report

Company Name	Ticker	Last Price (04/24/26)
Airbus SE	AIR-FR	€165.92
ATI Inc.	ATI	$154.26
Booz Allen Hamilton Holding Corporation	BAH	$78.74
BWX Technologies, Inc.	BWXT	$223.15
CACI International Inc	CACI	$516.54
Carpenter Technology Corporation	CRS	$427.48
GE Aerospace	GE	$284.60
General Dynamics Corporation	GD	$313.21
HEICO Corporation	HEI	$264.04
Hexcel Corporation	HXL	$89.39
Howmet Aerospace Inc.	HWM	$242.44
Huntington Ingalls Industries, Inc.	HII	$359.29
Leidos Holdings, Inc.	LDOS	$146.06
Lockheed Martin Corporation	LMT	$513.45
Northrop Grumman Corporation	NOC	$575.11
Rocket Lab Corporation	RKLB	$79.68
Rolls-Royce Holdings plc	RR-GB	£11.29
RTX Corporation	RTX	$174.26
Safran SA	SAF-FR	€270.00
StandardAero Inc.	SARO	$24.54
Textron Inc.	TXT	$87.96
The Boeing Company	BA	$232.44
TransDigm Group Incorporated	TDG	$1,148.18
Voyager Technologies Inc.	VOYG	$28.68
Woodward, Inc.	WWD	$364.95
York Space Systems Inc.	YSS	$31.06

Source: Wells Fargo Securities LLC Estimates, FactSet

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